Chapter 31
Miscellaneous

Article 1
Fees

3 AAC 31.010. General requirements.
(a) The applicable nonrefundable fee for each type of license or service, established by the division of insurance under 3 AAC 31.020 - 3 AAC 31.090, must be paid to the director in advance of the action requested.
(b) The director will promptly remit to the commissioner of revenue, for deposit in the general fund, all fees received under this section.

3 AAC 31.020. Insurance producer, managing general agent, reinsurance intermediary manager, reinsurance intermediary broker, controlling insurance producer, third-party administrator, and independent adjuster fees.
(a) The following fees are established for resident and nonresident licenses, for insurance producers, managing general agents, reinsurance intermediary managers, reinsurance intermediary brokers, controlling insurance producers, third-party administrators, and independent adjusters:
(1) initial application or biennial renewal for an insurance producer, managing general agent license, reinsurance intermediary manager, reinsurance intermediary broker, controlling insurance producer, independent adjuster, or independent adjuster trainee license, including issuance of the license, if issued, for
(A) all lines:
(i) for a resident or nonresident individual, $75;
(ii) for a resident or nonresident firm, $75;
(B) any or all lines within property and casualty lines only:
(i) for a resident or nonresident individual, $75;
(ii) for a resident or nonresident firm, $75; or
(C) any or all lines within life lines only:
(i) for a resident or nonresident individual, $75;
(ii) for a resident or nonresident firm, $75;
(2) initial application or biennial renewal for each of the following limited producer resident or nonresident licenses for an individual or firm, including issuance of the license, if issued, $75:
(A) bail bond;
(B) motor vehicle rental agency;
(C) travel;
(D) crop;
(E) credit;
(F) miscellaneous, as described in AS 21.27.150; or
(G) portable electronics;
(3) initial application or biennial renewal for a resident limited title producer individual or firm license, including issuance of the license, if issued, $75;
(4) initial application for a temporary license, as described in AS 21.27.390, including issuance of the license, if issued, $75;
(5) initial application or biennial renewal for the registration of a resident or nonresident third-party administrator for an individual or firm, including issuance of the registration, if issued, $300.
(b) If the division issues an initial biennial license within 90 days before the date by which it must be renewed, the applicant shall pay the entire license fee and the license will be issued to cover up to a 27-month period.

3 AAC 31.025. Viatical settlement provider, viatical settlement broker, and viatical settlement representative fees.
(a) The following fees are established for resident and nonresident licenses for viatical settlement providers, viatical settlement brokers, and viatical settlement representatives:
(1) initial application or biennial renewal for a resident or nonresident viatical settlement provider, for an individual or firm, including issuance of the license, if issued, $300;
(2) initial application or biennial renewal for a resident or nonresident viatical settlement broker or viatical settlement representative, including issuance of the license, if issued, $100.
(b) If the division issues an initial biennial license within 90 days before the date by which it must be renewed, the applicant shall pay the entire license fee and the license will be issued to cover up to a 27-month period.

3 AAC 31.030. Broker fees.
Repealed 7/1/92.

3 AAC 31.040. Surplus lines broker fees.
(a) The following fee is established for a resident or nonresident initial application or biennial renewal of a surplus lines broker license for an individual or firm, including issuance of the license, if issued, $300.
(b) If the division issues an initial biennial license within 90 days before the date by which it must be renewed, the applicant shall pay the entire license fee and the license will be issued to cover up to a 27-month period.

3 AAC 31.050. Insurer fees.
(a) The following fees are established for insurers:
(1) application for a certificate of authority, including a solicitation permit and issuance of the certificate, if issued, a one-time fee of $2,250;
(2) annual continuation of a certificate of authority, $2,250;
(3) amendment to a certificate of authority, $100;
(4) amendment to the articles of incorporation, $100;
(5) revised bylaws or amendments to bylaws, $100;

(6) filing an annual statement, $100;
(7) solicitation permit for subsequent financing, for domestic insurers, $100;
(8) reinstatement of a certificate of authority, $500;
(9) registration as an accredited reinsurance company, $500;
(10) filing a holding company Form A Statement Regarding the Acquisition of Control of or Merger with a Domestic Insurer, $2,000;
(11) review of an assuming reinsurance company for compliance with AS 21.12.020(a)(3) and (4), as requested by the company, $100;
(12) for a multiple employer welfare arrangement:
(A) initial application for a certificate of authority, including issuance of the certificate, if issued, $2,000;
(B) annual continuation of a certificate of authority, $2,000;
(13) replacement of a lost certificate of authority, $25.
(b) The fees listed in (a)(2), (a)(6), and (a)(12)(B) of this section must be paid by using the Automated Clearing House debit or credit payment system. In this subsection, "Automated Clearing House debit or credit payment system" means the network for the interbank clearing of electronic payments for participating depository financial institutions.

3 AAC 31.060. Miscellaneous fees.

(a) The following fees are established:
(1) with respect to a license for which the licensee failed to notify the director of the information required under AS 21.27.025 and within the time period required by AS 21.27.025, if notification is received
(A) one - 60 days late, $50;
(B) 61 - 120 days late, $100; or
(C) more than 120 days late, $200;
(2) issuance of a certification, $25;
(3) acceptance of service of process, $25;
(4) three-year rating bureau license, $6,000;
(5) delayed renewal penalty fee to reinstate a license that lapsed, and that has not been suspended or revoked, if payment is overdue by
(A) one - 60 days, $100; or
(B) over 60 days, $200;
(6) with respect to an application to reinstate a revoked license, if received within six months after the revocation, the application fee plus a reinstatement fee of $500;
(7) filing of a certified annual financial statement by an alien surplus lines insurer not on the list described in AS 21.34.040(c)(7), $100;
(8) initial application for registration on the division's list of eligible surplus lines insurers by an alien surplus lines insurer not on the list described in AS 21.34.040(c)(7), $1,000;
(9) annual renewal for registration on the division's list of eligible surplus lines insurers by an alien surplus lines insurer not on the list described in AS 21.34.040(c)(7), $500;
(10) late fee for reinstatement on the division's list of eligible surplus lines insurers by an alien surplus lines insurer not on the list described in AS 21.34.040(c)(7), $250;
(11) initial service of process filing fee of a risk retention group, $1,000;
(12) annual service of process filing fee for continuation of a risk retention group, $200;
(13) initial registration of a purchasing group, $500;
(14) annual continuation of a purchasing group, $200;
(15) computer listings, $25;
(16) initial application for and annual renewal of a resident attorney-in-fact license, $200;
(17) initial application for and annual renewal of a nonresident attorney-in-fact license, $500;
(18) for a joint title plant company,
(A) initial application for a certificate of authority, including issuance of the certificate, if issued, $1,000;
(B) annual continuation of a certificate of authority, $600;
(19) application for a person seeking written consent to engage in the business of insurance under 18 U.S.C. 1033(e)(2) and AS 21.36.355, with or without application for an insurance license, $300;
(20) for photocopies, $.25 per page if copied by division staff, otherwise $.15 per page;
(21) for a cassette tape or a computer disk, $5;
(22) for a computer disk formatted for data submission, $25;
(23) initial application of a continuing education provider, $200;
(24) continuing education provider renewal fee, $100;
(25) late fee for reinstatement of a continuing education provider, $50;
(26) initial application for and biennial renewal of a continuing education course, $50;
(27) late fee for reinstatement of a continuing education course, $50;
(28) late filing fee for a continuing education course roster, $250;
(29) late fee for issuance of a continuing education course certificate of completion, $20;
(30) licensee request for manually updating licensee's transcript, including adding successfully completed courses, $50;
(31) licensee request for course credit under 3 AAC 23.204, $50;
(32) air ambulance service provider initial biennial registration application fee, $1,000;
(33) air ambulance service provider renewal biennial registration application fee, $200.
(34) returned check fee, $25.
(35) initial application for and biennial renewal of a motor vehicle service contract provider license, $300;
(36) initial application for and biennial renewal of a motor vehicle service contract administrator registration, $75.
(37) independent review organization biennial registration fee, $1,000.
(b) If an applicant for a license or registration submits a paper application when applying by electronic means is available to the applicant, an additional processing fee of $50 will be charged.
(c) If an individual applies to be exempt from licensing as a managing general agent, reinsurance intermediary manager, or reinsurance intermediary broker or from registration as a third party-administrator, the fee is $100.
(d) For any printed material furnished by the director and not otherwise described in this section, the director will charge the actual cost of printing plus handling and postage.

3 AAC 31.070. Proration of license fees.

Repealed.

3 AAC 31.090. Definitions.
Repealed.

Article 2
Filing Procedure for Forms Rates Manuals Rating Plans and Rules

3 AAC 31.200. Applicability and scope.
3 AAC 31.200 - 3 AAC 31.299 apply to all persons who are required to file forms, rates, manuals, rating plans, rules, policies, certificates, or other documents under AS 21.39.040, 21.39.041, 21.39.043, 21.39.210, 21.39.220; AS 21.42.120, 21.42.123, 21.42.125; AS 21.51.405; AS 21.54.015; AS 21.57.080; AS 21.66.370, 21.66.450; AS 21.84.255; AS 21.86.070; AS 21.87.180, or 21.87.190.

3 AAC 31.205. Methods and receipt dates of filings.
(a) A person shall submit a filing electronically by
(1) using an electronic filing system approved by the director under AS 21.96.080; or
(2) electronic mail, if approved by the director.
(b) If the director receives a filing or other requested information on a weekend or state holiday, or after 3:00 p.m. Alaska Time, the receipt date is the next working day.

3 AAC 31.210. Filing.
(a) Each filing submitted to the director by electronic mail must include the appropriate transmittal document as described in 3 AAC 31.221 or 3 AAC 31.225. The transmittal document is considered part of the filing. Each filing submitted using an electronic filing system approved under AS 21.96.080 by the director must include the information specified in the transmittal document as described in 3 AAC 31.221 or 3 AAC 31.225 in the appropriate fields.
(b) Except as provided in (d)(1) and (e) of this section, a separate filing must be made for each type of insurance.
(c) Forms must be submitted separately from rates and rules.
(d) For property and casualty types of insurance,
(1) new rates, rules, or forms that apply to different or multiple types of insurance but have the same purpose and effect, or revisions or replacements to existing rates, rules, or forms that apply to different or multiple types of insurance where the proposed revisions have the same purpose and effect, may be submitted in a single filing;
(2) rates and rules may be submitted in a single filing when filed under AS 21.39.041 or 21.39.220;
(3) rates filed under AS 21.39.210 may only contain rules that are revised to update the corresponding rate changes; and
(4) if rate, rule, and form filings for a single program are submitted at the same time, the transmittal document for each filing must cross-reference the other filings submitted for the program.
(e) For life, annuity, and health types of insurance offered to employer groups, a single filing with multiple life, annuity, and health types of insurance may be filed.
(f) Except for health care insurance rates or forms, and subject to the requirements under (b) and (d) of this section, insurers with the same National Association of Insurance Commissioners' group number may submit substantially similar rates, rules, or forms
(1) in a single filing for all insurers if the filing
(A) contains the name of each insurer;
(B) clearly describes the differences between the rates, rules, or forms if they differ by insurer; and
(C) clearly identifies which insurer will use each rate, rule, or form; or
(2) in separate filings for each insurer if the filing
(A) cross-references any substantially similar filings for other insurers in the group that are submitted simultaneously or have already been submitted; and
(B) describes any differences in the rates, rules, or forms submitted in each filing.
(g) An insurer shall include in each applicable filing a cross-reference to other similar or related filings that are submitted simultaneously with the subject filing or other similar or related filings that have already been submitted. The filing must describe any differences between the new rates, rules, or forms in the subject filing and any similar or related filing.
(h) If a filing contains a revision to or replacement of an existing rate, rule, or form, the filing must include each assigned identification number under which the material proposed for revision is currently approved or authorized. The filing must also include a marked copy of the form, rule, or rate page showing the new material underlined and the deleted material with a line stricken through it, or by a similar method of identifying changes that has been approved by the director. A revised or replaced item that is not identified as required may not be approved or authorized for use.
(i) If a filing is a resubmission of a prior filing that was withdrawn or disapproved, the filing must include the identification number assigned to the withdrawn or disapproved filing and must specifically address any questions or comments raised by the director with respect to the withdrawn or disapproved filing. The filing must also include a marked copy of the form, rule or rate page identifying any revisions that have been made compared to the corresponding form, rule, or rate pages contained in the withdrawn or disapproved filing. The marked copy must follow the format described in (h) of this section.
(j) Upon receipt of a filing, the director will assign an identification number to the filing. All subsequent communications regarding the filing must include the assigned identification number.
(k) If the filing does not include the information required under 3 AAC 31.221 or 3 AAC 31.225 and all other information required under this section, the director may reject the filing and the rate, rule, or form may not be used.
(l) If an insurer's response to questions asked by the director does not provide all the information requested or is submitted to the director less than five days before the expiration of the waiting period and an extension under AS 21.42.125, the director will disapprove the filing or consider the failure of an adequate response to be a request to withdraw the filing.
(m) An insurer may not issue insurance to a resident of this state under a group including an out-of-state group that does not meet the requirements of AS 21.54.060 for health insurance, AS 21.54.070 for blanket insurance, and AS 21.48.010 for life insurance. Before issuing coverage to a resident of this state through a policy issued to an association or trust, including a union trust, an insurer must file and obtain the director's approval for each association or trust through which a resident of this state will be issued coverage subject to the following:
(1) if the constitution or bylaws of the association or trust are modified, the insurer must refile and obtain approval of the association or trust;
(2) the filing for approval of the association or trust must be submitted separately from the forms subject to filing under AS 21.42.120 that will be issued to the association or trust unless the forms will be issued exclusively to the association or trust.
(n) Life and health insurers submitting a form filing consisting of endorsements, applications, declarations, or schedules

that will be attached to a previously approved or authorized policy or coverage form must include the identification number of the filing in which the policy or coverage form was approved or authorized.

(o) A filing is not required if the only change to the form or rule page is a change to the insurer's logo, letterhead information, pagination, or formatting that

(1) does not affect the text of the currently authorized or approved form, rule, or rate page; and

(2) is not subject to special formatting requirements.

(p) A response to a question from the director must

(1) describe or otherwise clearly identify the changes proposed within the response; and

(2) update the information required by 3 AAC 31.221 or 3 AAC 31.225 that has changed.

3 AAC 31.215. Filings submitted by electronic mail.

(a) A filing submitted by electronic mail must include

(1) a copy of the appropriate transmittal document as described in 3 AAC 31.221 or 3 AAC 31.225; and

(2) a copy of the filing materials and supporting documentation.

(b) The director will respond to a filing submitted by electronic mail with the receipt date and with the assigned identification number under 3 AAC 31.210(j). The appropriate timeline under AS 21.39.040, 21.39.041, 21.39.043, 21.39.210, 21.39.220; AS 21.42.123, 21.42.125; AS 21.51.405; AS 21.54.015; AS 21.57.080; AS 21.66.370, 21.66.450; AS 21.84.255; AS 21.86.070; or AS 21.87.180 will apply based upon the receipt date stated in the director's response.

(c) A response to questions from the director regarding a specific filing must be addressed to the division employee requesting the information.

(d) A response to questions from the director must be submitted

(1) in the same format in which the filing was originally submitted; or

(2) in a different format if the format is approved by the director.

(e) The director will review filings submitted under AS 21.39.210 and send the contact person an electronic mail confirmation that the effective date requested by the insurer is authorized. An insurer shall retain evidence of the authorization for five years after the date the filing is no longer in use.

(f) If the director approves a filing submitted under AS 21.39.041 or AS 21.42.123, the director will send the contact person an electronic mail approval stating the effective date. An insurer shall retain evidence of the approval for five years after the date the filing is no longer in use.

(g) If the director authorizes a filing submitted under AS 21.39.220 or AS 21.42.125 to become effective, the director will send the contact person an electronic confirmation of the effective date. An insurer shall retain evidence of the confirmation for five years after the date the filing is no longer in use.

(h) If the director disapproves a filing, the director will send the contact person an electronic notification that the filing has been disapproved. An insurer shall retain evidence of the disapproval for five years after the date of disapproval.

3 AAC 31.217. Electronic filings.

(a) An insurer that submits a filing through an electronic filing system approved under AS 21.96.080 by the director shall submit the filing in accordance with the requirements for that electronic filing system.

(b) If the electronic filing system becomes unavailable for use, the director may extend the review timelines under AS 21.39.040, 21.39.041, 21.39.043, 21.39.220; AS 21.42.123, 21.42.125; AS 21.51.405; AS 21.54.015; AS 21.57.080; AS 21.66.370, 21.66.450; AS 21.84.255; AS 21.86.070; or AS 21.87.180 by an additional working day for each day the system is unavailable. For purposes of identifying the additional working day under the extended timeline, the director will use the procedure set out in 3 AAC 31.205(b).

(c) If the electronic filing system becomes unavailable for use for an extended period of time, the director may authorize communication by another available method in order to continue the review of the filing. When the electronic filing system again becomes available for use, the director and the filer will add their respective filing communications to the electronic filing.

3 AAC 31.220. Cover letter.

Repealed.

3 AAC 31.221. Life and health insurance transmittal document.

(a) The transmittal document or transmittal document information in the case of filings submitted using an electronic filing system approved by the director under AS 21.96.080 required to be submitted with a life insurance, health insurance, or annuity filing under 3 AAC 31.210 is the National Association of Insurance Commissioners' Life, Accident & Health, Annuity, Credit Transmittal Document (LHTD-1), with the appropriate attachment (LH FFA-1 or LH RFA-1). For purposes of this section, the National Association of Insurance Commissioners' Life, Accident & Health, Annuity, Credit Transmittal Document (LHTD-1) effective as of July 1, 2009 and attachments (LH FFA-1 and LH RFA-1), effective as of January 1, 2009, are adopted by reference.

(b) An insurer shall include all the following state-specific information in Item 15 of the transmittal document specified in (a) of this section:

(1) a brief description of the purpose of the filing and any changes that the filing will introduce;

(2) information required under 3 AAC 31.210(h) and (i);

(3) the requested effective date;

(4) a description of the group and method of marketing for the type of group identified in Item 8 of the transmittal document specified in (a) of this section;

(5) a statement indicating whether the filing is submitted under AS 21.42.123 or AS 21.42.125;

(6) the company's name for the product, if any;

(7) if the filing is a rate filing, the overall effect of the rate level change requested in the filing;

(8) if the filed form will be used with a previously approved form, the form number and state filing number of the previously approved form.

(c) An insurer shall include the name of the company or firm of the individual submitting the filing in Item 4 of the transmittal document specified in (a) of this section.

(d) For purposes of this section and Items 17 and 18 of the transmittal document attachments specified in (a) of this section,

(1) "initial" means the first submission of the form in this state that does not replace or revise any previous form;

(2) "revised" means

(A) for a form filing, the form contains changes to an existing form and the form number will continue to be used with a revision date that reflects the date of the change; and

(B) for a rate filing, the filing is a change to an existing rate;

(3) "other" means

(A) for a form filing, a replaced form or any other form that is not an initial or revised form; in this subparagraph, "replaced" means that the form contains substantial changes to an existing form and the existing form and its form number will no longer be used; and

(B) for a rate filing, a rate filing that is not a new filing or revised filing.

3 AAC 31.225. Property, casualty, surety, marine, mortgage guaranty, and title insurance transmittal document.

(a) The transmittal document required under 3 AAC 31.210(a) or transmittal document information in the case of filings submitted using an electronic filing system approved by the director under AS 21.96.080 and required under 3 AAC 31.210(a) must include

(1) the name of the rating organization, if the filing is made by a rating organization;

(2) the National Association of Insurance Commissioners' group and company numbers and, if the filing is not made by a rating organization, the name of the companies making the filing;

(3) the name of the person to contact regarding the filing;

(4) a brief description of the purpose of the filing and any changes that the filing will introduce;

(5) the date the filing is made;

(6) whether the filing is a rate, rule, or form filing;

(7) the type of insurance to which the filing applies;

(8) the specific product to which the filing applies;

(9) the insurer's identification number for the filing, if any;

(10) identification of whether each form, rule or rate page is a replacement and, if so and if available, the division's identification number for previous filing;

(11) the requested effective date;

(12) the insurer's identification number of any corresponding filings or filings that are substantially similar, in whole or in part, including filings described in 3 AAC 31.210(f)(2);

(13) if the filing references a rating organization filing, the rating organization's name, the rating organization's identification number, and the division's identification number of the referenced filing;

(14) if the filing is submitted for information purposes under 3 AAC 29.500 - 3 AAC 29.550, a statement to that effect; and

(15) if the filing is a resubmission of a prior filing that was withdrawn or disapproved, the identification number assigned to the withdrawn or disapproved filing.

(b) If the filing is a form filing, in addition to the requirements of (a) of this section, the transmittal document must include

(1) the form number, edition date, and name of each form;

(2) whether the filing is submitted for consideration subject to prior approval under AS 21.42.123 or to file and use under AS 21.42.125; and

(3) whether a similar filing has been made in the insurer's state of domicile and the status of the filing in that state.

(c) If the filing is a rate or rule filing, in addition to the requirements of (a) of this section, the transmittal document must include

(1) whether the filing is submitted for consideration subject to prior approval under AS 21.39.041, to flex-rating under AS 21.39.210, or to file and use under AS 21.39.220;

(2) the overall effect of the rate level change requested in the filing, if applicable; and

(3) the maximum and minimum rate changes an individual policyholder may receive.

(d) Responses to the director's questions on a filing submitted by electronic mail must include

(1) the name of the rating organization, if the response is made by a rating organization;

(2) the National Association of Insurance Commissioners' group and company numbers and, if the filing is not made by a rating organization, the name of the company making the filing;

(3) the name of the person to contact regarding the response;

(4) a description of the changes proposed in the response;

(5) the date the response is made;

(6) whether the filing is a rate, rule, or form filing;

(7) the type of insurance to which the filing applies;

(8) the specific product to which the filing applies;

(9) the insurer's identification number for the filing, if any;

(10) the division's identification number assigned to the filing;

(11) the requested effective date; and

(12) if the filing is submitted for information purposes under 3 AAC 29.500 - 3 AAC 29.550, a statement to that effect.

(e) A response to a question from the director must revise any transmittal document information required by (a), (b), or (c) of this section, if the information requires revision to accurately reflect the proposal as amended by the response.

3 AAC 31.230. Property, casualty, surety, marine, and mortgage guaranty rate filings.

(a) In addition to the requirements under 3 AAC 31.200 - 3 AAC 31.217 and 3 AAC 31.225, a property, casualty, surety, marine, or mortgage guaranty rate filing must include

(1) premium and loss experience, both nationwide and specifically for this state, shown separately by each year in the experience period used or with a full explanation if that information is not available; in the case of a filing for more than one company, the premium and loss experience of the different companies may be combined if an explanation is provided;

(2) expense information, both nationwide and specifically for this state, if available; expense information must be broken out in detail at least as specific as the expense groups shown on Part III of the insurance expense exhibit of the annual statement required by AS 21.09.200; if loss adjustment expenses are included in the loss experience, that fact must be clearly explained;

(3) support showing how investment income was incorporated into the proposed rate or loss cost adjustment;

(4) an explanation of the actuarial methodology used in developing an indicated rate, rating component, or loss cost adjustment, including a description of any trending or credibility procedures used, as well as the role of judgment in the formulation of a final rate proposal;

(5) support for any deviation included in a filing, whether the deviation is between companies or from a rating organization filing;

(6) any other information that the company considers relevant, including reference to rating organization experience or published industry statistics, if appropriate; and

(7) any other information requested by the division in support of the filing.

(b) If the filing is submitted for flex-rating under AS 21.39.210, the filing must also include an exhibit detailing the cumulative rate change of all the rate filings that became effective or will become effective within the 12 months immediately preceding the proposed effective date, including the effect of the rate change of the subject filing. The exhibit must calculate the rate change separately for each company to which the filing applies and must include the division's identification numbers for each of the applicable historical rate filings.

3 AAC 31.235. Health care insurance rate filings.

(a) Except as provided in (b) of this section, an insurer may not use or change health care insurance premium rates unless the rates and supporting documentation as required by this section have been filed with and approved by the director. Rates and supporting documentation requested under this section must be filed with the director at least 45 days before the proposed effective date of the new or modified premium rates. A rate filing must be filed annually at least 45 days before the end of the rating period, even if no rate change is proposed.

(b) An insurer is not required to file for approval with the director health care insurance premium rates for a large employer health care insurance policy but must submit rates and supporting documentation with the director not later than 30 days after use for a large employer health insurance policy that is not fully experience-rated. In this subsection, 'large employer' means an employer that employs an average of at least 51 employees on the business days during the preceding calendar year and that employs at least two employees on the first day of a health benefit plan year.

(c) Except as provided in (b) of this section, an insurer shall submit separate filings for individual, small group, and large group policy forms, riders, or endorsements through the National Association of Insurance Commissioners' System for Electronic Rate and Form Filing (SERFF). All applicable filing and rate information fields in the System for Electronic Rate and Form Filing must be completed.

(d) An insurer shall propose the date upon which the proposed health care insurance rates will become effective and shall specify the annual rating period for which the proposed rates will be effective. The proposed effective date may be not later than six months after the date the rate filing is submitted to the director except to the extent necessary to meet any federal filing deadlines.

(e) To develop rates or rate revisions, the insurer shall use the most current reliable data available and, to the extent that the experience is credible, use experience specific to the insurer's policyholders in this state and covered individuals in this state. If other experience is used in developing rates or rate revisions, the rates or rate revisions must be

(1) adjusted to be appropriate for this state's benefit, utilization, and cost levels; and

(2) described in the actuarial memorandum under (g) of this section.

(f) Underwriting adjustments to rates must be

(1) documented in detail in the company records;

(2) objectively determined; and

(3) actuarially justified.

(g) Except as provided in (h) of this section, a health care insurance rate filing must include an actuarial memorandum with information sufficient to demonstrate that rates are not excessive, inadequate, or unfairly discriminatory. The actuarial memorandum must include

(1) a list of policy forms, riders, and endorsements to which the rates apply, including

(A) a summary of benefits for each policy form, rider, and endorsement;

(B) an indication of whether the policy form, rider, or endorsement is open or closed to new sales;

(C) a description of the marketing method for each policy form, rider, and endorsement;

(D) a description of applicable underwriting standards for each policy form, rider, and endorsement; and

(E) a description of any benefit changes from the previous year for each policy form, rider, and endorsement;

(2) a signed certification by a member of the American Academy of Actuaries stating that, in the opinion of the actuary, the rates are in compliance with the law of this state and are not excessive, inadequate, or unfairly discriminatory;

(3) a description of the reason for the rate revision, if applicable;

(4) by policy form or, if experience is combined for multiple policy forms, for the combined forms, the number of policyholders in this state and covered individuals in this state that will be affected by the proposed rate revision;

(5) by policy form or, if experience is combined for multiple policy forms, for the combined forms, the average, minimum, and maximum rate revision that any policyholder or covered individual would receive;

(6) a description of the rating formula, including each rating assumption and any changes in the rating formula or rating assumptions from the previous year;

(7) the methodology for determining, and the actuarial justification for, each rating assumption or change in rating assumption including a description and a summary of the experience data used in developing the rates or rate revisions;

(8) rate schedules for the specified rating period;

(9) the cost and utilization trend analysis by major service category;

(10) a comparison of the prior year projected experience and actual experience as well as actual-to-expected cost, utilization, and claim trends for the experience period used in developing rates;

(11) the pricing or target loss ratio;

(12) the impact on rates or rate revisions of state or federally mandated benefit changes and the impact of other benefit changes for both essential and non-essential health benefits, including the impact of changes in cost-sharing requirements by major service category on rates or rate revisions;

(13) the impact on rates or rate revisions of changes in actual or expected enrollee risk profile including federal rating limitations on age and tobacco;

(14) the impact of any overestimate or underestimate of medical trend for previous years on proposed rates or rate revisions;

(15) the impact of changes in reserve needs on rates or rate revisions;

(16) the impact of changes in administrative costs related to programs that improve health care quality;

(17) the impact of changes in other administrative costs on rates or rate revisions;

(18) the impact of changes in applicable taxes, licensing, or regulatory fees on rates or rate revisions;

(19) projected rebates to policyholders in this state under 42 U.S.C. 300gg - 300gg-95;

(20) for each of the most recent 48 months for each policy form or, if experience is combined for multiple policy forms, for the combined forms:

(A) earned premiums;

(B) paid claims;

(C) incurred claims;

(D) incurred loss ratio;

(E) the number of covered individuals in this state;
(F) the number of member-months;
(G) expected loss ratio;
(21) rate revisions and implementation dates by policy form for the four years before the date of filing;
(22) company capital and surplus, company revenues, and company liabilities for the four years before the date of filing;
(23) rebates paid to policyholders in this state under 42 U.S.C. 300gg - 300gg-95;
(24) the impact of
(A) geographic factors and variations;
(B) changes within a single risk pool to all products or plans within the risk pool;
(C) any reinsurance or risk adjustment payments and charges under 42 U.S.C. 18061 and 18063; and
(25) other information requested by the director.
(h) An insurer that does not actively market health care insurance in this state but provides health care insurance coverage to a resident of this state through an out-of-state single employer insured group plan is exempt from the requirements under (g) of this section.
(i) If an insurer's response to a request for additional information by the director is inadequate or is submitted to the director later than five days before the expiration of the waiting or extension period under AS 21.51.405 or AS 21.54.015, the director may disapprove the filing.
(j) The director will hold a rate filing confidential until the date that the rates become effective and under AS 21.06.060(g) will continue to hold the following rate filings or information provided within a rate filing confidential on and after the effective date:
(1) a large group rate filing;
(2) a rate filing for a specific group including an association rate filing;
(3) a grandfathered plan rate filing;
(4) third-party data and analysis purchased by the insurer and used in developing the rates.

3 AAC 31.240. Loss cost adjustment filing.
In addition to the requirements under 3 AAC 31.200 - 3 AAC 31.217, 3 AAC 31.225, and 3 AAC 31.230, a filing by a participating insurer of a rating organization that aims to modify the rating organization's filed and approved loss costs for a type of insurance by applying a loss cost adjustment must include copies of the loss cost adjustment form provided by the director. An explanation, including information upon which the insurer relies to support the deviation, must be included regarding any deviation contained in the filing.

3 AAC 31.250. Form filing.
(a) Repealed 12/20/2020.
(b) Text or numbers in a form that may vary must be bracketed or otherwise clearly and consistently identified in the form and a statement of variability must be submitted with the form that describes the conditions under which each variable text or number may change and describes any relationship between the variable text or numbers. All ranges or options for text or numbers that are subject to a statutory mandate or that define coverage must be identified in the statement of variability. Benefit schedules may not be entirely variable or illustrative.
(c) A blank endorsement, rider, or form may not be submitted in a filing unless included with the filing is the full range of possible variable language options along with a description of when each variable language option will be used.
(d) A life insurance or annuity contract filing must include an actuarial memorandum certified and signed by an individual who is a qualified actuary under 3 AAC 21.810. The actuarial memorandum must demonstrate compliance with
(1) AS 21.45.300 (Standard Nonforfeiture Law for Life Insurance) or AS 21.45.305 (Standard Nonforfeiture Law for Individual Deferred Annuities), as applicable; and
(2) AS 21.18.110 (Standard Valuation Law - Life Insurance).
(e) For a health insurance policy with separately identified optional components
(1) a new policy form filing must include
(A) the base policy; and
(B) all optional components, including
(i) an index of the optional components; and
(ii) an explanation of how each optional component will be used; and
(2) a new optional component may be submitted separately from the base policy form if the filing clearly states the assigned filing numbers for
(A) the approved base policy form to which the optional component applies; and
(B) all previously submitted optional components approved for use with that base policy form;
(3) repealed 8/20/2016;
(4) repealed 8/20/2016.
(f) For life and health insurance, a filing for a revision to a base policy form or an optional component must include a listing of all associated forms and their assigned filing numbers or a copy of all associated forms and corresponding assigned filing numbers.
(g) For life and health insurance, eligibility rules must be specified in the form.
(h) For life and health insurers, insurance company contact information including the company address, telephone number, Internet address, and officer signatures must be
(1) specified in the form; and
(2) made variable following the requirements under (b) of this section.
(i) Insurance department contact information that may be included in a form must be variable following the requirements under (b) of this section. In this subsection, "insurance department" means an insurance regulatory organization whose chief insurance regulator is a member of the National Association of Insurance Commissioners.
(j) A contract may not contain discretionary language under which the insurer reserves discretion to interpret a provision of the insurance policy.

3 AAC 31.260. Fees.
A licensee or its affiliate or subsidiary is not prohibited from charging and collecting fees included in an insurer's rate filing that has been properly filed.

3 AAC 31.299. Definitions.
In 3 AAC 31.200 - 3 AAC 31.299,
(1) "replaced" or "revised," with respect to a form, rule, or rate page,

(A) means a form, rule, or rate page with the same basic content or effect as a currently authorized or approved form, rule, or rate page and that will be used in place of the currently authorized or approved form, rule, or rate page regardless of whether the name or other identifying information associated with the form, rule, or rate is changing;

(B) does not include a form, rule, or rate page

(i) with changes limited to the insurer's logo, letterhead information, pagination, or formatting that does not affect the text of the currently authorized or approved form, rule, or rate page, and that is not subject to special formatting requirements; or

(ii) defined under 3 AAC 31.221(d)(2) or (3);

(2) "rate filing" includes a loss cost filing.

Article 3
Viatical Settlements

3 AAC 31.300. Qualifications for license.

(a) The director will issue or renew a license to a person, or to be exercised by a person, in compliance with AS 21.96.110 and 3 AAC 31.300 - 3 AAC 31.449, if the director finds that the person

(1) has complied with the application requirements of AS 21.27.040;

(2) has provided

(A) the person's social security number or the person's federal employer identification number assigned by the United States Internal Revenue Service; and

(B) any additional information the director may request under AS 21.27.040, including disclosure of the identity of all stockholders, directors, partners, officers, members, and employees;

(3) has established to the satisfaction of the director that the person is in compliance with and is qualified for a license under AS 21.96.110 and 3 AAC 31.300 - 3 AAC 31.449;

(4) is licensed in this state for lines of authority for life insurance coverage and variable coverage under AS 21.27 and 3 AAC 28.010 - 3 AAC 28.190;

(5) is trustworthy and competent;

(6) has not committed an act that is cause for denial, nonrenewal, suspension, or revocation of a license in this state or another jurisdiction;

(7) has provided the plan of operation required under 3 AAC 31.320;

(8) has provided an anti-fraud plan that meets the requirements in 3 AAC 31.405;

(9) for a resident license, is a bona fide resident before issuance of the license and actually resides in the state; and

(10) if a nonresident applicant or licensee and the applicant or licensee's home state does not participate in the producer database maintained by the National Association of Insurance Commissioners, has submitted a certificate of good standing from an official or agency with authority to regulate insurance in the applicant's or licensee's home state.

(b) The director will issue or renew a firm license to a viatical settlement provider, viatical settlement broker, or viatical settlement representative if the director finds that

(1) the applicant or licensee complies with (a) of this section;

(2) the compliance officer of the firm is licensed in the state as an individual;

(3) for an applicant or licensee that is a corporation or partnership, it

(A) maintains a lawfully established place of business in this state unless licensed as a nonresident as provided in (c) of this section;

(B) designates a licensee responsible for the firm's compliance with the insurance statutes and regulations of this state; and

(C) provides to the director documents necessary to verify the information contained in or made in connection with the application.

(c) In addition to the requirements of (a) and (b) of this section, an applicant for a license who is not a resident of this state shall comply with AS 21.27.270.

(d) An applicant or licensee may not use a fictitious name or alias unless the applicant or licensee files with the director the applicant's or licensee's

(1) legal name;

(2) and fictitious name or alias.

(e) After the director issues a license, the licensee shall comply with the notice of change requirements of AS 21.27.025.

3 AAC 31.305. License exemptions.

A person is not required to be licensed under 3 AAC 31.300 - 3 AAC 31.449 if the person is employed on salary or hourly wage

(1) and does not receive commission, directly or indirectly, on a viatical settlement contract entered into by a person licensed under 3 AAC 31.300 - 3 AAC 31.449, and the person's activities are solely for the performance of executive, administrative, managerial, clerical, or similar office duties that are only indirectly related to a viatical settlement transaction; or

(2) by a licensed viatical settlement provider, viatical settlement broker, or viatical settlement representative at its place of business and

(A) does not receive commission, directly or indirectly, on a viatical settlement contract entered into by a viatical settlement provider;

(B) is supervised by and reports directly to a licensed viatical settlement provider, viatical settlement broker, or viatical settlement representative in the firm;

(C) does not have direct contact with a viator or insured; and

(D) does not individually engage in the sale, solicitation, or negotiation of a viatical settlement contract with a viator or insured.

3 AAC 31.310. Appointment of a viatical settlement representative.

(a) A licensed viatical settlement provider or a viatical settlement broker shall appoint a viatical settlement representative on forms prescribed by the director within 10 days after the viatical settlement representative first acts or aids in any manner in a viatical settlement transaction.

(b) A viatical settlement representative that is licensed and acts solely on behalf of a licensed viatical settlement representative firm is not required also to have an appointment under (a) of this section.

(c) If the director approves an appointment, based on whether the viatical settlement representative to be appointed has a license in good standing, the director will provide acknowledgement of the appointment and the effective date of the appointment to the person making the appointment and to the appointee.

(d) Within 30 days after receipt of the acknowledgment under (c) of this section, the person making the appointment and the appointee shall notify the director of any error in the acknowledgment.
(e) If either party revokes or terminates an appointment, the appointing viatical settlement provider or viatical settlement broker shall notify the director of the revocation or termination within 30 days after the revocation or termination, and shall provide a statement of the reasons for revocation or termination.

3 AAC 31.315. Surety bond requirement.

(a) In addition to the other requirements under 3 AAC 31.300 - 3 AAC 31.449 and AS 21.96.110 to qualify for issuance or for renewal of a viatical settlement provider license, an applicant or licensee shall have and maintain while licensed an unimpaired bond in a sum of not less than $200,000 aggregate liability.
(b) A bond required under (a) of this section must
(1) be continuous in form;
(2) remain in force until the director releases the licensee from liability;
(3) be without prejudice to any liability accrued before the effective cancellation; however, the bond may be cancelled if the director receives at least 60 days notice before the date of the effective cancellation; and
(4) be in favor of insureds, viators, and the state.
(c) A bond issued under this section must be acceptable to the director and may only be issued
(1) by an admitted insurer authorized to transact surety insurance in the state; or
(2) in compliance with AS 21.34, by a surplus lines insurer that is listed on the most recent list of eligible surplus lines insurers published by the director.
(d) An individual who has entered into an employment contract with the firm is not required to have and maintain a bond required under this section if the firm has and maintains a bond or other alternative allowed under (f) of this section.
(e) A firm licensee's bond required under this section extends to all the firm's separate places of business.
(f) If the director determines that a deposit of cash, certificate of deposit, or letter of credit meets the requirements of this section, the deposit of cash, certificate of deposit, or letter of credit may be used instead of a bond.
(g) A firm may enter into an employment contract with a licensed individual to conduct business under the supervision of and in the name of the firm. The individual and the firm shall retain a copy of the contract and shall reply in writing within three working days to an inquiry of the director regarding any business transacted by the individual and the firm.
(h) A licensed individual may, if authorized by the firm, accept on the firm's behalf, a viatical settlement transaction in accordance with a written agency employment contract.
(i) The firm shall be responsible for the actions of an individual transacting viatical settlement transactions under the firm's employment contracts. In any disciplinary proceeding under AS 21, the existence of the employment contract shall be prima facie evidence that the firm knew of the activities of the individual.
(j) The individual and the firm shall maintain a current list of all of their respective contracts that identifies, for each contract, the parties to the contract, the parties' mailing addresses, electronic mailing addresses, and telephone numbers, and the parties' license number, and the effective and termination dates of employment.
(k) A licensee shall retain the records of an employment contract and make the records available for examination and inspection by the director, at any business time during the five years immediately following the date of the termination of the employment contract unless the director orders a longer period of retention. If the licensee assumes the business of another licensee or former licensee by merger, purchase, or otherwise, the requirements of 3 AAC 31.425 apply.

3 AAC 31.320. Plan of operation.

(a) A viatical settlement provider shall provide to the director with a license application a plan of operation that details the manner in which the viatical settlement provider proposes to operate in the state and a description of the life insurance policies or contracts the viatical settlement provider intends to viaticate including a designation by
(1) group or individual; and
(2) term, whole, universal, or variable.
(b) A viatical settlement provider's plan of operation must be a narrative overview of the viatical settlement provider's business and must include
(1) a copy of the viatical settlement provider's charter and bylaws, if a corporation, or a copy of the partnership agreement, if a partnership;
(2) a chart showing the relationship of the viatical settlement provider to any parent, affiliated, or subsidiary corporation;
(3) a detailed description of the viatical settlement provider's marketing techniques, including a description of training programs for those individuals who will have direct contact with a viator or insured;
(4) a schedule listing the names of financial institutions with which the viatical settlement provider has escrow trust agreements, and indicating the balance on each account, and copies of all escrow and trust agreements; and
(5) a detailed description of the steps through which the viator will have access to money, including the name of the escrow agent that will make the money available.
(c) A viatical settlement provider shall notify the director of any change in the plan of operation or the financial information filed with its license application within 30 days after the change.

3 AAC 31.325. Scope of license.

(a) A viatical settlement broker may not be an agent for, or employee of, a viatical settlement provider.
(b) A viatical settlement broker who offers or attempts to negotiate a viatical settlement contract shall act according to the viator's instructions and in the best interest of the viator or insured and not the viatical settlement provider or any other person.
(c) Repealed 10/13/2011.
(d) A licensee may operate only within the scope of the license the person applied for and received.
(e) A firm shall have a firm license of the same scope as each individual employee of the firm.
(f) Except as provided in 3 AAC 31.305, each individual employee of a firm must be licensed in this state.

3 AAC 31.330. Viatical settlement broker contracts.

(a) A viatical settlement provider who appoints a viatical settlement broker in this state or relative to a subject resident, located, or to be performed in this state shall execute a written contract that specifically sets out the duties, functions, powers, authority, and compensation of the viatical settlement broker.
(b) A viatical settlement broker may only receive compensation if the compensation is a
(1) fee paid by a client;
(2) combination of a fee paid by a person and a commission paid by a viatical settlement provider who enters into a viatical settlement contact, if the amount of the commission is disclosed to the person; or

(3) commission paid by a viatical settlement provider who enters into the viatical settlement contract.
(c) A viatical settlement broker may not assign, in whole or in part, a contract between the viatical settlement broker and a viatical settlement provider.

3 AAC 31.335. Commission arrangements.
A person may not be promised payment or paid, directly or indirectly, compensation when transacting a viatical settlement under AS 21.96.110 unless the person is licensed as required under 3 AAC 31.300 - 3 AAC 31.449 as a viatical settlement provider, viatical settlement broker, or viatical settlement representative.

3 AAC 31.340. License renewal.
(a) Except as provided in 3 AAC 31.300 - 3 AAC 31.449, the director will renew a viatical settlement provider, viatical settlement broker, or viatical settlement representative license biennially on a date consistent with 3 AAC 23.860, if the licensee continues to be qualified under 3 AAC 31.300 - 3 AAC 31.449 and on or before the close of business on the renewal date, meets all renewal requirements under 3 AAC 23.860. A licensee is responsible for knowing the date that a license lapses and for renewing a license before the expiration date of the license.
(b) If a viatical settlement provider, viatical settlement broker, or viatical settlement representative fails to pay the renewal fee and meet all renewal requirements on or before to the expiration date, the license lapses. A licensee may not act as or represent to be a viatical settlement provider, viatical settlement broker, or viatical settlement representative during the time a license is lapsed. The director may reinstate a lapsed license if the person continues to qualify for the license, pays the applicable license renewal fees set out in 3 AAC 31.025, and pays the applicable delayed renewal penalty fee set out 3 AAC 31.060(a). Reinstatement does not exempt a person from a penalty provided under AS 21.96.110 for transacting business while unlicensed. A license may not be renewed if it has lapsed for two years or longer.
(c) If a licensee does not wish to renew a license issued under AS 21.96.110 and 3 AAC 31.300 - 3 AAC 31.449, the licensee shall surrender the license to the director on or before the close of business on the renewal date in the manner prescribed in AS 21.27.460.
(d) If a viatical settlement provider has in force, at the time of license renewal, viatical settlement contracts with viators in which the insureds are still living, the viatical settlement provider shall
(1) renew the license until the viatical settlement provider assigns, sells, or otherwise transfers each viatical settlement contract in which an insured is still living, or until each insured who is subject to a viatical settlement contract has died, whichever occurs first; or
(2) appoint, in writing, one of the following to make all inquiries in compliance with 3 AAC 31.385 to the viator or insured, or the viator's or insured's designee, regarding the health status of the viator and other pertinent matters:
(A) the licensed viatical settlement provider who entered into the viatical settlement contract;
(B) the licensed viatical settlement broker who received commissions from the viatical settlement;
(C) another licensed viatical settlement provider or viatical settlement broker.

3 AAC 31.345. License disqualification.
(a) The director may deny issuance of, deny renewal of, suspend, or revoke the license of a viatical settlement representative, viatical settlement broker, or viatical settlement provider if the viatical settlement provider, viatical settlement broker, viatical settlement representative, or an officer, partner, or member, or management personnel, of a viatical settlement provider, viatical settlement broker, or viatical settlement representative firm
(1) makes a material misrepresentation in the application for a license or renewal;
(2) engages in or is about to engage in a fraudulent, dishonest, or unfair marketing practice or transaction;
(3) has received a suspension or revocation of a viatical settlement license of any kind in another jurisdiction;
(4) exhibits conduct considered by the director to reflect incompetence or untrustworthiness, or to be a source of potential injury or loss to the public;
(5) is convicted of a felony;
(6) places or attempts to place a viatical settlement contract with or through a person who is not licensed as required in AS 21.96.110 or who does not have an appointment as required in 3 AAC 31.310;
(7) violates or participates in a violation of a provision of AS 21.96.110 or 3 AAC 31.300 - 3 AAC 31.449;
(8) fails to honor a contractual obligation of a viatical settlement contract;
(9) with intent to deceive, materially misrepresents the terms or effect of a viatical settlement contract;
(10) if a viatical settlement provider, assigns, transfers, or pledges a viaticated policy to a person other than a viatical settlement provider licensed in this state;
(11) deals with, or attempts to deal with, or to exercise a power relative to, a viatical settlement transaction outside the scope of the license of the licensee or applicant;
(12) demonstrates a pattern of unreasonable payments to viators; or
(13) no longer meets the requirements for licensure.
(b) The director may deny issuance of, deny renewal of, suspend, or revoke the license of a firm and its compliance officer for a violation or cause that relates to a person representing or acting on behalf of the firm.

3 AAC 31.350. Procedure for suspending, revoking, or conditioning a license.
(a) After a hearing under AS 21.06.170 - 21.06.240, if the director decides to suspend or revoke a person's license for a violation under 3 AAC 31.345, the director will issue an order effective 10 days after the issue date of the order that the license is suspended or revoked.
(b) After a hearing under AS 21.06.170 - 21.06.240, the director may place conditions on a person's license, if the director determines that the
(1) person has violated a provision of 3 AAC 31.300 - 3 AAC 31.449; and
(2) conditions will protect the public from injury or potential injury.
(c) With the consent of an applicant or licensee, the director may issue or renew a license with restrictions upon the scope of the person's license or may otherwise restrict or condition the activities of the licensee if the director determines that the
(1) person has violated the provisions of 3 AAC 31.300 - 3 AAC 31.449; or
(2) restrictions or conditions will protect the public from injury or potential injury.
(d) In an order suspending a license, the director will specify the period during which the license is suspended. The director will not set a period of suspension that exceeds 12 months after the effective date of the order as calculated under (a) of this section.
(e) An order revoking a license must specify the period during which the person may not seek to be licensed in this state or licensed relative to a subject resident, located or to be performed in this state.
(f) In addition to any other penalty provided under AS 21.96.110, a person whose license has been suspended or revoked

shall pay a penalty equal to all or a portion of the compensation

(1) received during the suspension or revocation; and

(2) relating to a viatical settlement transaction that occurred during the period in which the license was suspended or revoked.

3 AAC 31.355. Surrender of license.

A person licensed under 3 AAC 31.300 - 3 AAC 31.449 shall comply with all the requirements of AS 21.27.460 regarding surrendering a license.

3 AAC 31.360. Reporting requirements for viatical settlement providers.

On or before March 1 of each calendar year, the compliance officer of a viatical settlement firm licensed in this state or an individual viatical settlement provider not in a firm licensed in this state shall make a report of all viatical settlement transactions and shall distinguish between transactions with viators who are residents of this state and transactions with all viators in total. The report must contain the following information for the previous calendar year:

(1) for each viatical settlement transaction during the previous calendar year,

(A) the effective date of the viatical settlement contract;

(B) the viator's state of residence on the effective date of the viatical settlement contract;

(C) the mean life expectancy in months of the insured on the effective date of the viatical settlement contract;

(D) the total face amount of the life insurance policy viaticated;

(E) the amount of net death benefit for the life insurance policy viaticated;

(F) the estimated total premiums necessary to keep the life insurance policy in force for the mean life expectancy of each insured;

(G) the proceeds paid to each viator under a viatical settlement contract;

(H) the source of the viaticated policy, whether

(i) from a viatical settlement broker;

(ii) by direct purchase from a viator; or

(iii) through the secondary market, from an entity other than a viator or viatical settlement broker;

(I) a description of the life insurance policy that is the subject of the viatical settlement contract; the description must include an indication of whether the life insurance policy is

(i) group or individual; and

(ii) term, whole, universal, or variable;

(J) whether the life insurance policy is still within the contestable or suicide period at the effective date of the viatical settlement contract;

(K) a classification of the diagnosis of the insured, according to at least one of the following disease categories:

(i) infectious and parasitic diseases except AIDS/HIV;

(ii) AIDS/HIV;

(iii) neoplasms;

(iv) endocrine disorders, nutritional and metabolic diseases, and immunity disorders other than AIDS/HIV;

(v) diseases of the blood and blood-forming organs;

(vi) mental disorders;

(vii) diseases of the nervous system and sense organs;

(viii) diseases of the circulatory system;

(ix) diseases of the respiratory system;

(x) diseases of the digestive system;

(xi) diseases of the genitourinary system;

(xii) complications of pregnancy, childbirth, and the puerperium;

(xiii) diseases of the skin and subcutaneous tissue;

(xiv) diseases of the musculoskeletal system and connective tissue;

(xv) congenital anomalies;

(xvi) certain conditions originating in the perinatal period;

(xvii) symptoms, signs, and ill-defined conditions;

(xviii) injury and poisoning;

(L) how proceeds from the viatical settlement contract were funded, whether by

(i) institutional investors; or

(ii) private investors; and

(M) the name and address of the viatical settlement broker through whom the viatical settlement provider purchased a policy from a viator who resided in this state on the effective date of the viatical settlement contract;

(2) for a viatical settlement contract in which death occurred during the previous calendar year,

(A) the effective date of the viatical settlement contract;

(B) the viator's state of residence on the effective date of the viatical settlement contract;

(C) the mean life expectancy in months of each insured assumed by the viatical settlement provider on the effective date of the viatical settlement contract;

(D) the amount of net death benefit collected by the viatical settlement provider under the life insurance policy viaticated;

(E) the total premiums paid to keep the life insurance policy in force, whether

(i) a waiver of premium occurs in the event of disability; or

(ii) not applicable because the policy is paid up and premiums are not due;

(F) the proceeds paid to each viator under a viatical settlement contract;

(G) a classification of the diagnosis of the insured, according to at least one of the following disease categories:

(i) infectious and parasitic diseases except AIDS/HIV;

(ii) AIDS/HIV;

(iii) neoplasms;

(iv) endocrine disorders, nutritional and metabolic diseases, and immunity disorders other than AIDS/HIV;

(v) diseases of the blood and blood-forming organs;

(vi) mental disorders;

(vii) diseases of the nervous system and sense organs;

(viii) diseases of the circulatory system;

(ix) diseases of the respiratory system;

(x) diseases of the digestive system;

(xi) diseases of the genitourinary system;

(xii) complications of pregnancy, childbirth, and the puerperium;
(xiii) diseases of the skin and subcutaneous tissue;
(xiv) diseases of the musculoskeletal system and connective tissue;
(xv) congenital anomalies;
(xvi) certain conditions originating in the perinatal period;
(xvii) symptoms, signs, and ill-defined conditions;
(xviii) injury and poisoning;

(H) the date of the insured's death;

(I) the number of months between the effective date of the viatical settlement contract and the date of the insured's death;

(J) the difference between the number reported under (I) of this paragraph and the number reported under (C) of this paragraph; and

(K) the name and address of the viatical settlement broker through whom the viatical settlement provider purchased a policy from a viator who resided in this state on the effective date of the viatical settlement contract;

(3) the number of life insurance policies considered for a viatical settlement contract and rejected by the viatical settlement provider, viatical settlement broker, or viatical settlement representative;

(4) the number of life insurance policies purchased in the secondary market as a percentage of total life insurance policies purchased.

3 AAC 31.365. Payments.

(a) A viatical settlement provider may not enter into or effectuate a viatical settlement contract that provides payment to the viator that is unreasonable or unjust. For life expectancies up to 24 months, the following discount rates as applied to the face value of a life insurance policy, less outstanding loans on the policy, will be presumed to be reasonable and just payment to a viator:

(1) if the life expectancy of the insured is less than six months, at least 80 percent;

(2) if the life expectancy of the insured is at least six months but less than 12 months, at least 70 percent;

(3) if the life expectancy of the insured is at least 12 months but less than 18 months, at least 65 percent;

(4) if the life expectancy of the insured is at least 18 months but less than 24 months, at least 60 percent.

(b) A viatical settlement provider may enter into or effectuate a viatical settlement contract that provides payment to a viator less than the amounts specified in (a) of this section, if the director determines the payment not to be unreasonable or unjust. In determining whether a payment is unreasonable or unjust, the director will consider

(1) the life expectancy of the viator;

(2) the applicable rating of the insurance company that issued the life insurance policy by a rating service generally recognized by the insurance industry, regulators, and consumer groups;

(3) the prevailing discount rates in the viatical settlement market in this state, or if insufficient data is available for this state, the prevailing discount rates nationally or in other states that maintain this data, if the data is credible; if the director determines that credible prevailing discount rate data is not available, the director may require that payment to a viator under a viatical settlement contract must be consistent with the payments specified in (a) of this section; and

(4) other factors relevant to whether the payment is unreasonable or unjust.

(c) If a life insurance policy contains a provision for double or additional indemnity for accidental death, the viatical settlement provider or insurance company shall pay the additional indemnity to the

(1) beneficiary last named by the viator before entering into the viatical settlement contract;

(2) designated beneficiary, if the viator designated a beneficiary other than the viatical settlement provider on or after entering into the viatical settlement contract; or

(3) the estate of the viator, if the viator has not designated a beneficiary.

(d) A viatical settlement provider shall pay proceeds of a viatical settlement contract to the viator in a lump sum unless the

(1) viatical settlement contract clearly states that payments will be made consistent with an annuity; and

(2) viatical settlement provider has purchased an annuity or similar financial instrument issued by a licensed insurance company or bank or by an affiliate of a licensed insurance company or bank specifically for payment of proceeds under the viatical settlement contract.

(e) Within three working days after the viatical settlement provider's receipt of documents to effectuate the transfer of the insurance policy under a viatical settlement contract, the viatical settlement provider shall pay proceeds of the viatical settlement contract to an escrow or trust account in a state or federally chartered financial institution whose deposits are insured by the Federal Deposit Insurance Corporation. The account must be managed by a trustee or escrow agent independent of the parties to the viatical settlement contract. The trustee or escrow account contract must provide for payment by wire transfer or by certified or cashier's check of the viatical settlement proceeds to the viator within three working days after the date that the viatical settlement provider receives an insurer's or group administrator's acknowledgement that

(1) ownership of the policy or interest in the group certificate has been transferred to the viatical settlement provider; and

(2) the beneficiary has been designated under the viatical settlement contract.

(f) A viatical settlement provider, trustee, or escrow agent may not retain a portion of the viatical settlement contract proceeds.

3 AAC 31.370. Approval of viatical settlement contracts and disclosure statements.

(a) A person may not use a viatical settlement contract or provide to a viator a disclosure form in this state unless the contract or form is filed with and approved by the director for compliance with this section.

(b) A viatical settlement contract or a disclosure form must be filed with the director not less than 30 days before the anticipated date of delivery of the viatical settlement contract or disclosure form.

(c) The director will not approve a viatical settlement contract or disclosure form if the director determines that the viatical settlement contract or disclosure form contains a statement or provision that is unreasonable, contrary to the interests of the public, misleading, unfair to the viator or insured, or in violation of 3 AAC 31.300 - 3 AAC 31.449.

(d) If a viatical settlement provider enters into a viatical settlement contract that allows the viator to retain an interest in the life insurance policy, the viatical settlement contract must contain the following:

(1) a statement that the viatical settlement provider will pay viatical settlement contract proceeds to the viator only to the extent or portion of the death benefit subject to the viatical settlement contract;

(2) a statement that the viator's remaining interest in the life insurance policy will be paid directly to the viator's beneficiary by the insurance company;

(3) a statement that the viatical settlement provider will, upon notification by the insurance company that an

ownership interest in a life insurance policy has been transferred and a beneficiary has been designated,

(A) advise the insured, in writing, that the insurance company has confirmed the viator's interest in the policy and that ownership or an interest in the life insurance policy has been transferred; or

(B) send to the insured a copy of the communication that was sent from the insurance company to the viatical settlement provider acknowledging the viator's interest in the policy and that ownership or interest in the life insurance policy has been transferred;

(4) a provision that apportions the premiums to be paid by the viatical settlement provider and the viator; the viatical settlement contract may specify that all premiums must be paid by the viatical settlement provider and may require that the viator reimburse the viatical settlement provider for the premiums attributable to the amount of interest the viator retains in the life insurance policy;

(5) a statement in at least 10-point bold typeface substantially similar to the following statement: "Any person who knowingly presents false information in an application for insurance or for a viatical settlement contract is guilty of a crime and may be subject to penalty."

(e) An application for a viatical settlement contract described in (d) of this section must contain the statement described in (d)(5) of this section.

(f) A viatical settlement contract must provide the viator with an unconditional right to rescind the contract within 15 days after the date the viator received the viatical settlement contract proceeds. If the insured dies during the 15-day period, the viatical settlement contract must be rescinded as of the date of death, and the viator shall refund the viatical settlement contract proceeds to the viatical settlement provider within 10 working days after the date the viatical settlement contract was rescinded.

3 AAC 31.375. Approval of advertising material.

(a) A person may not use an advertisement related to a viatical settlement transaction unless the advertisement is filed with and approved by the director for compliance with this section. The director will not approve an advertisement related to a viatical settlement transaction if the advertising

(1) contains misleading, potentially misleading, unfair, unclear, or deceptive information;

(2) is not conducive to accurate presentation and description of viatical settlement transactions or contracts;

(3) is contrary to the public interest; or

(4) is in violation of AS 21 or 3 AAC 31.300 - 3 AAC 31.449.

(b) A viatical settlement producer, viatical settlement broker, or viatical settlement representative shall establish and maintain control over the content, form, and distribution method of an advertisement relating to a viatical settlement transaction including at least annual notification of the requirements and procedures necessary for approval by the director before the use of an advertisement to each person authorized by the viatical settlement producer, viatical settlement broker, or viatical settlement representative to distribute an advertisement.

(c) An advertisement relating to a viatical settlement transaction may not

(1) omit material information or use words, phrases, statements, references, or illustrations if the omission or use has the capacity, tendency, or effect of misleading or deceiving viators as to the nature or extent of a benefit, loss covered, premium payable, or state or federal tax consequence;

(2) state or imply that interest charged on an accelerated death benefit or policy loan is unfair, inequitable, or in any manner an incorrect or improper practice;

(3) use the words "free," "no cost," "without cost," "no additional cost," or "at no extra cost," or words of similar meaning with respect to a benefit or service unless true;

(4) contain statistical information unless the

(A) statistical information accurately reflects recent and relevant facts; and

(B) the source of each statistic is clearly identified;

(5) disparage insurers, viatical settlement providers, viatical settlement brokers, viatical settlement representatives, insurance licensees, policies, services, or methods of marketing;

(6) use of any of the following, without disclosing the name of the viatical settlement provider, viatical settlement broker, or viatical settlement representative, if using any of the following would give the advertisement the capacity or tendency to mislead or deceive a person regarding the true identity of the viatical settlement provider, viatical settlement broker or viatical settlement representative, or to create the impression that a company other than the viatical settlement provider, viatical settlement broker, or viatical settlement representative would have responsibility for the financial obligation under the viatical settlement contract

(A) a trade name;

(B) a group designation;

(C) the name of the parent company of a viatical settlement provider, viatical settlement broker, or viatical settlement representative;

(D) the name of a particular division of a viatical settlement provider, viatical settlement broker, or viatical settlement representative;

(E) a service mark;

(F) a slogan;

(G) a symbol;

(H) a device or reference other than one described in (A) - (G) of this paragraph;

(7) use a combination of words, symbols, or physical material that by their content, phraseology, shape, color, or other characteristics

(A) are similar to a combination of words, symbols, or physical material used by a government program or agency; or

(B) have the capacity or tendency to mislead prospective viators to believe that the viatical settlement transaction is connected with a government program or agency; or

(8) create the impression that a government entity recommends, endorses, approves, or favors

(A) a viatical settlement provider, viatical settlement broker, or viatical settlement representative, its financial condition or status, the payment of its claims, its business practices, or its methods of operation;

(B) the merits, desirability, or advisability of a particular viatical settlement contract;

(C) a viatical settlement contract; or

(D) a life insurance policy or life insurance company.

(d) If an advertisement emphasizes the speed with which a viatical settlement transaction will occur, the advertisement must state, for transactions in this state and for transactions in all other states, the average amount of time for a transaction by the advertised viatical settlement provider

(1) from completion of a viatical settlement application to the date of offer during the previous 12 months; and

(2) from acceptance of the offer to receipt of the viatical settlement proceeds by the viator during the previous 12 months.

(e) If an advertisement emphasizes the dollar amount available to a viator under a viatical settlement contract, the advertisement must state the number of viatical settlement contracts and the average viatical settlement proceeds as a percent of the life insurance policy face value for the viatical settlement contracts entered into with the advertised viatical settlement provider during the past six months for transactions in this state and for transactions in all other states.

3 AAC 31.380. Disclosure requirements.

(a) Before an application for a viatical settlement contract is signed, a viatical settlement provider, viatical settlement broker, or viatical settlement representative shall provide disclosure statements in a conspicuous manner to a viator in a separate document. The document containing the disclosure statements must be signed by the viatical settlement provider, viatical settlement broker, or viatical settlement representative, and by the viator. In the document, the following information must be disclosed:

(1) possible alternatives to a viatical settlement contract, including policy loans or accelerated death benefits that may be offered under the viator's life insurance policy;

(2) that some or all of the proceeds of the viatical settlement contract may be taxable under federal income tax or state franchise or income tax laws, along with a recommendation that the viator seek assistance from a professional tax advisor;

(3) that proceeds from a viatical settlement contract could be subject to the claims of creditors;

(4) that receipt of the proceeds from a viatical settlement contract may adversely affect the viator's eligibility for Medicaid or other government benefits or entitlements, along with a recommendation that the viator obtain advice from the appropriate government agency;

(5) the viator's right to rescind a viatical settlement contract within 15 days after the date of receipt of the proceeds from a viatical settlement contract by the viator pending return of the proceeds;

(6) that the proceeds from a viatical settlement contract will be sent to the viator within three working days after the viatical settlement provider receives the insurer's or group administrator's acknowledgment that

(A) ownership of the life insurance policy or interest in the group certificate has been transferred to the viatical settlement provider; and

(B) the beneficiary under the viatical settlement contract has been designated;

(7) that entering into a viatical settlement contract may cause other rights or benefits available to the viator, including conversion rights and waiver of premium benefits existing under the life insurance policy or interest in the group certificate, to be forfeited, along with a recommendation that the viator seek assistance from a financial adviser;

(8) the name, business address, and telephone number of the independent trustee or escrow agent that is to be used in the transaction, along with a statement that the viator may inspect or receive copies of relevant agreements or documents provided by the trustee or escrow agent;

(9) that providing false or misleading information in order to obtain an insurance policy is insurance fraud under AS 21.36.360;

(10) the name, address, and telephone number of the viatical settlement provider;

(11) that all medical, financial, and personal information solicited or obtained by a viatical settlement provider, viatical settlement broker, or viatical settlement representative about a viator and insured, including the viator's or insured's identity and the identity of family members, a spouse, or a spousal equivalent of the viator or insured, is confidential unless disclosure is

(A) necessary to effectuate a viatical settlement contract between the viator and a viatical settlement provider and the viator and insured have provided prior written consent to release the information; or

(B) provided in response to an investigation or examination by the director;

(12) that by entering into a viatical settlement contract, information regarding the viator's or insured's identity and medical condition will be available to each subsequent owner of the life insurance policy;

(13) that subject to (12) of this subsection, medical, financial, and personal information solicited or obtained by a viatical settlement provider, viatical settlement broker, or viatical settlement representative about a viator or insured, including the viator's or insured's identity or the identity of a viator's or insured's family members, spouse, or a spousal equivalent may be provided to viatical settlement financing entities;

(14) that the insured may be contacted no more than once every three months if the insured has a life expectancy of more than one year and no more than once per month if the insured has a life expectancy of one year or less by the viatical settlement provider, the viatical settlement broker, or the viatical settlement representative to determine the insured's health status;

(15) the information in Appendix A of this section printed in at least 12-point typeface.

(b) Before a viatical settlement contract is signed, a viatical settlement provider, viatical settlement broker, or viatical settlement representative shall provide disclosure statements in a conspicuous manner to a viator in a separate document. The document containing the disclosure statements must be signed by the viatical settlement provider, viatical settlement broker, or viatical settlement representative, and by the viator. In the document, the following information must be included:

(1) the affiliation, if any, between the viatical settlement provider and the issuer of an insurance policy subject to the viatical settlement contract;

(2) the name, address, and telephone number of the viatical settlement provider;

(3) the amount and method of calculating the viatical settlement broker's compensation;

(4) if the life insurance policy subject to the viatical settlement contract has been issued as a joint policy or involves family riders or any coverage of a life other than the insured, information about the possible loss of coverage on the other lives under the policy, along with a recommendation that the viator consult with an insurance producer or the insurance company issuing the life insurance policy for advice regarding the impact of entering into a viatical settlement contract on the benefits of the life insurance policy;

(5) the dollar amount of the current net death benefit payable to the viatical settlement provider under the life insurance policy or interest in the group certificate;

(6) the availability of any additional guaranteed insurance benefits, the dollar amount of any accidental death and dismemberment benefits under the policy, and the viatical settlement provider's interest in those benefits;

(7) the name, business address, and telephone number of the independent trustee or escrow agent that is to be used in the transaction, along with a statement that the viator may inspect or receive copies of relevant agreements or documents provided by the trustee or escrow agent;

(8) the procedure for how contacts with the viator or the insured will be handled.

(c) If the viatical settlement provider transfers ownership or changes the beneficiary of the life insurance policy, the

viatical settlement provider shall provide the viator and insured the name, business address, and phone number of the new beneficiary or owner within 20 days after the transfer of ownership or change in beneficiary.

APPENDIX A Selling Your Life Insurance Policy

Today it's possible for you to sell your life insurance policy to someone else (a viatical settlement provider) for an immediate cash payment. This financial arrangement, known as a viatical settlement, is best suited for people who are living with an immediate life-threatening illness and facing tough financial choices.

It may not always be in your best interest to sell your life insurance policy. Before you take action, you should be sure you understand

* what future benefits you may lose; and
* what other options may be available

Selling your life insurance policy is a complex financial arrangement. This guide will help you make an informed decision.

We recommend that you

1. evaluate your needs;
2. check all your options;
3. understand how the process works;
4. know your rights; and
5. check with the Alaska Division of Insurance.

Step 1. Evaluate your needs Before you sell your policy and give up valuable insurance protection, think about whether your need for life insurance has changed since you bought the policy. If it hasn't, selling your policy may not be the right choice. If you sell your policy now, your beneficiaries will not be paid a benefit at your death.

If you sell your policy now, remember premiums go up a lot as you grow older. You may not want to pay the higher cost to replace your coverage later.

Step 2. Check all of your options You may be able to get the cash you need now without selling your policy.

Policy Cash Values

Contact your current life insurance agent or company to see if you have any cash value in your policy. Ask if you can

(1) borrow from the cash value and still keep the insurance in force;
(2) cancel the policy for its current cash value; or
(3) use the cash value as collateral to get a loan from a financial institution.

Your insurance company must tell you about your options if you ask.

Accelerated Death Benefits

Find out if your policy has an "accelerated death benefit." It may be your best option.

Many life insurance policies do have an accelerated death benefit. With that benefit, policyholders who are terminally ill, affected with certain diseases, or permanently confined in a nursing home can access 50 percent or more of a policy's death benefit while still living. An accelerated death benefit could pay you a large part of your policy's death benefit and you could keep your policy.

A very important feature of the accelerated benefit is that when the policyholder dies, the beneficiaries get the remaining death benefit. This means that eventually 100 percent of the policy benefits will be paid out either to the insured or the beneficiary.

Other Considerations

Think about what it will mean if you do sell your policy. Check out the tax implications. Not all proceeds from a viatical settlement are tax-free.

Find out if creditors could claim any of the money you would get from a viatical settlement.

Find out if you will lose any public assistance benefits such as medicaid or other government benefits if you accept a cash settlement for your life insurance policy.

Comparison Shop

To learn the market value of your policy, it's a good idea to contact three to five viatical settlement providers. Or you could use a viatical settlement broker who would contact several viatical settlement providers for you. Your financial advisor can help you decide whether to work with a viatical settlement provider or through a viatical settlement broker.

Summary

Everyone's financial situation is different. A viatical settlement may or may not be the best approach for you. Check it out for yourself. We recommend that you ask an advisor who is qualified to review your finances to help you review your options.

Step 3. How the process works If you decide to sell your life insurance policy to a viatical settlement provider, you will enter into a viatical settlement agreement with the provider. You, the seller, agree to accept a cash payment for your policy. The amount will be less than the face amount the policy would pay upon your death. (For example, you might agree to accept a $75,000 cash payment for a $100,000 policy.)

The viatical settlement provider buying your policy

* becomes the new owner of your policy;
* names the beneficiary;
* collects the full death benefit when you die;
* begins paying premiums on the policy; and

* may sell your policy again.

There are four basic phases required to complete a viatical transaction.

Phase 1 - Qualifying to sell your policy (underwriting)

The viatical settlement provider will need information about you before making an offer. Usually, the viatical settlement provider will take some preliminary information from you over the phone and send you this paperwork to sign:

* a medical release form so the viatical settlement provider can get and review your medical records;
* an authorization form to contact your insurance company to confirm benefit, premium, and ownership of your policy.

To avoid delays, it's important that you give complete and accurate information about your medical history.

If you apply with more than one viatical settlement provider, each will contact your doctor for medical records and your insurance company for policy information.

Phase 2 - Calculating the offer

The viatical settlement provider uses the information it gets in the underwriting phase to make an offer. To develop an offer, a viatical settlement provider takes into account various factors including

* estimated life expectancy and medical condition of the insured; generally, the shorter the life expectancy of the insured, the more the viatical settlement provider will offer for the policy;
* the amount of life insurance coverage;
* loans or advances, if any, previously taken against the policy;
* amount of premiums necessary to keep the life insurance policy in force;
* the rating of the issuing insurance company;
* prevailing interest rates; and
* payment restrictions.

Phase 3 - Closing the agreement

* If you accept an offer, a closing package is forwarded to you, the seller, for approval and signature. Closing documents typically include an offer letter, a viatical settlement contract, and the forms the insurance company needs to transfer ownership of the policy to the viatical settlement provider.
* The closing documents are then returned to the viatical settlement provider for its signature.
* The viatical settlement provider will put the cash payment owed to you in escrow, if required, and send the signed insurance change forms to the insurance company to record the change.

Phase 4 - Receiving the payment

Once the insurance company notifies the viatical settlement provider that the changes on the life insurance policy have been recorded, the payment is released to you, the seller, usually the next business day.

Step 4. Know your rights State laws

Alaska insurance laws provide important consumer protections including the following:

* a viatical settlement broker or viatical settlement provider arranging viatical settlements must be licensed with the Alaska Division of Insurance;
* with few exceptions, the viatical settlement provider buying your policy must keep your identity and medical history confidential unless you give written consent to tell others;
* to protect your proceeds, the viatical settlement provider buying your policy must put your money into an escrow account with an independent party during the transfer process;
* you have the right to change your mind about the settlement within 15 days AFTER you receive the money, provided you return all the money;
* the new owners of your policy are limited in how often they may contact you about your health status.

Federal tax laws

Two groups of people might receive benefits from a viatical settlement without owing federal income tax:

* persons who have been diagnosed with a terminal illness and with a life expectancy of 24 months or less;
* certain chronically ill individuals.

Before entering into a viatical settlement, consult your own financial advisor or tax attorney about the federal tax consequences.

Avoiding Consumer Fraud

* If you're in good health and someone asks you to sell your life insurance policy, proceed with caution. Refer to the section on selling your life insurance policy.
* If you've been contacted by someone who wants you to buy a policy and then sell it immediately, you should contact the Alaska Division of Insurance. You may be a target for fraud.
* If you're asked to buy a life insurance policy for the sole purpose of selling it, you may be participating in fraud. Contact the Alaska Division of Insurance to report the request and to obtain information.
* If you're asked to invest in a viatical settlement, we recommend that

you contact the Alaska Division of Insurance to learn more about the issues and risks that might be involved in such an investment.

Step 5. Check with the Alaska Division of Insurance State Licensing

For a complete list of authorized viatical settlement providers, viatical settlement brokers, and viatical settlement representatives, call the Alaska Division of Insurance.

Seller Checklist

Before you sell your policy be sure you know the answers to these questions.

Evaluating Your Needs

* Do you still need life insurance?
* Do you have dependents who might rely on your life insurance benefits should anything happen to you?
* If you don't need life insurance protection now, what are the chances you'll need it in the future?

Current Policy Benefits

* Can you borrow from the cash value?
* Can you cancel the policy for its current cash value?
* Can you use the cash value as collateral to get a loan from a financial institution?
* Do you have art accelerated death benefit feature?

Taxes and Other Financial Considerations

* Is the money you get from selling the policy taxable?
* Will the money you get from selling the policy affect your eligibility for government benefits?
* Do you need the advice of a tax or estate-planning specialist before you decide to sell your policy?
* If you sell your policy, can any of your creditors claim the money?

Understanding the Process

* If you sell your policy, who will be the legal owner?
* Is the viatical settlement provider buying your policy licensed?
* If you sell your policy, how will the value you get be calculated? What interest rate will be used?
* If you sell your policy but then change your mind, can you get your money back?
* Will investors have specific information about you, your family, or your health status?
* How are fees or commissions paid to the viatical settlement broker or viatical settlement provider?

Protections in Your State

Contact the Alaska Division of Insurance to find out about the laws governing viatical settlements.

3 AAC 31.385. Privacy.

(a) Except as otherwise allowed or required by law, medical, financial, and personal information about a viator and insured, including the viator's or insured's identity or the identity of a family member or spousal equivalent, may not be disclosed to another person unless the disclosure is

(1) necessary to effectuate a viatical settlement contract between a viator and a viatical settlement provider and the viator and insured have provided prior written consent to the disclosure; or

(2) provided in response to an investigation or examination by the director.

(b) Contacts with an insured for the purpose of determining the health status of the insured after the effective date of the viatical settlement contract may be made only by a viatical settlement provider, viatical settlement broker, or viatical settlement representative licensed in this state. The insured may be contacted no more than

(1) once every three months, if the insured has a life expectancy of more than one year; and

(2) once a month, if the insured has a life expectancy of one year or less.

(c) A viatical settlement provider, viatical settlement broker, or viatical settlement representative shall obtain from a person that is provided with information that may not be disclosed under this section a signed affirmation that the person will not further divulge the information without first obtaining the express written consent of the viator and the insured for the disclosure. If a viatical settlement provider, viatical settlement broker, or viatical settlement representative is served with a subpoena and compelled to produce records containing patient identifying information, the viatical settlement provider, viatical settlement broker, or viatical settlement representative shall notify the viator and the insured in writing at their last known addresses within five working days after receiving the subpoena.

3 AAC 31.390. Fair marketing.

(a) A viatical settlement provider, viatical settlement broker, or viatical settlement representative may not pay or offer to pay a finder's fee, commission, or other compensation to

(1) an insured's physician;

(2) an attorney, accountant, or other person providing medical, legal, or financial planning services to the viator; or

(3) a person acting as an agent of the viator with respect to the viatical settlement transaction.

(b) A viatical settlement provider may not knowingly solicit as an investor a person who has treated or has been asked to treat the illness of the insured whose coverage would be the subject of the investment.

(c) Before the execution of a viatical settlement contract, a viatical settlement provider shall first obtain

(1) if the viator is the insured, a written statement from a licensed attending physician that the viator is of sound mind and under no constraint or undue influence to enter into or effectuate a viatical settlement contract;

(2) a witnessed document signed by the viator and the insured

(A) stating that the viator consents to the viatical settlement contract;

(B) representing that the viator and the insured have a full and complete understanding of the viatical settlement contract;

(C) representing that the viator has a full and complete understanding of the benefits of the life insurance policy;

(D) acknowledging that the viator entered into the viatical settlement contract freely and voluntarily; and

(E) acknowledging that, if the insured has a terminal or chronic illness or condition, the terminal or chronic illness or condition was diagnosed after the life insurance policy was issued; and

(3) a witnessed document signed by the viator stating that the insured consents to the release of the insured's medical records to

(A) a viatical settlement provider or viatical settlement broker; and

(B) the insurance company that issued the life insurance policy covering the life of the insured.

(d) Within 20 days after a viator executes documents necessary to transfer rights under a life insurance policy, or within 20 days after entering an agreement, option, promise, or other form of understanding to viaticate a life insurance policy, whichever is earlier, a viatical settlement provider shall

(1) give written notice to the insurance company that issued the life insurance policy subject to the viatical settlement contract that the life insurance policy is or will be viaticated; and

(2) deliver a copy of the medical release required in (c)(3) of this section, a copy of the viator's application for the viatical settlement contract, and the notice required in (1) of this subsection to the insurance company that issued the life insurance policy to be viaticated.

3 AAC 31.395. Prohibited practices.

(a) A viatical settlement provider may not also act as a viatical settlement broker, whether entitled to collect a fee directly or indirectly, in the same viatical settlement transaction.

(b) A person may not knowingly engage in a viatical settlement transaction in which the person has participated in the sale or solicitation of the associated life insurance policy.

(c) A viatical settlement broker may not seek or receive compensation from the viator, without obtaining the written agreement of the viator for the compensation before performing services in connection with a viatical settlement transaction.

(d) A person may not use a longer life expectancy than is realistic in order to reduce the payout to which the viator is entitled or use more than one life expectancy in a single viatical settlement transaction.

(e) A person may not knowingly enter into or effectuate a viatical settlement contract in which the associated life insurance policy was obtained by means of a false, deceptive, or misleading application.

(f) A person may not communicate, in any way, an advertisement, announcement, or statement containing an assertion, representation, or statement with respect to the viatical settlement business or with respect to a person in the conduct of the person's viatical settlement business that

(1) misrepresents the benefits, advantages, conditions, sponsorship, source, or terms of a viatical settlement contract;

(2) is a misrepresentation for the purpose of effecting or tending to effect a viatical settlement contract;

(3) uses a name or title of a viatical settlement contract that misrepresents its true nature;

(4) appears to be an actual viatical settlement contract for the named viator when it is merely an advertisement;

(5) does not clearly designate the name of the viatical settlement provider; or

(6) is in any way misleading, false, or deceptive.

(g) A person may not enter into a viatical settlement contract within two years after the date the life insurance policy to be viaticated is issued unless evidence is provided that one or more of the following conditions is met within the two-year period:

(1) the life insurance policy was issued upon the policy owner's exercise of conversion rights under a group or individual life insurance policy and the duration of coverage under the conversion policy plus the duration of coverage under the prior policy is at least 24 months;

(2) the policy owner is a charitable organization exempt from taxation under 26 U.S.C. 501(c)(3);

(3) the policy owner is not a natural person;

(4) the viator or the insured provides independent evidence to the viatical settlement provider that at least one of the following has occurred within the two-year period:

(A) the policy owner or insured is terminally or chronically ill;

(B) the viator's spouse dies;

(C) the viator becomes divorced;

(D) the viator retires from full-time employment;

(E) the viator becomes physically or mentally disabled and a physician certifies that the disability prevents the viator from maintaining full-time employment;

(F) the viator was the insured's employer at the time the life insurance policy was issued and the employment relationship has been terminated;

(G) on the application of a creditor of the viator, a court of competent jurisdiction enters a final order, judgment, or decree,

(i) adjudicating the viator bankrupt or insolvent;

(ii) approving a petition seeking reorganization of the viator; or

(iii) appointing a receiver, trustee, or liquidator to a substantial portion of the viator's assets;

(H) the viator experiences a significant decrease in income that is unexpected by the viator and that impairs the viator's reasonable ability to pay the premiums necessary to keep the life insurance policy in force;

(I) the viator or insured disposes of ownership in a closely held corporation under which the life insurance policy was purchased.

(h) A viatical settlement provider shall submit independent evidence to the insurance company that at least one of the conditions in (g) of this section was met when the viatical settlement provider submits a request to the insurance company to effectuate the transfer of a life insurance policy to the viatical settlement provider.

3 AAC 31.400. Insurance company practices.

(a) A life insurance company authorized to do business in this state shall respond to a request for verification of coverage from a viatical settlement provider or a viatical settlement broker within 30 days after the date the request is received, if the following are submitted with the request:

(1) in the case of an individual policy, a form substantially similar to Appendix A of this section, completed by the viatical settlement provider or the viatical settlement broker in accordance with the instructions on the form;

(2) in the case of group insurance coverage, a form substantially similar to Appendix B of this section, first completed by the group certificate holder to the extent the information is available to the group certificate holder, and then completed by the viatical settlement provider or viatical settlement broker in accordance with the instructions on the form.

(b) Nothing in this section prohibits a life insurance company and either a viatical settlement provider or a viatical settlement broker from using another verification of coverage form that has been mutually agreed upon in writing in advance of the submission of the request.

(c) For responding to a request for information from a viatical settlement provider or viatical settlement broker in compliance with this section, a life insurance company may not charge a fee in excess of any usual and customary charges to contract holders, group certificate holders, or insureds for similar services.
(d) The life insurance company may send an acknowledgment of receipt of the request for verification of coverage to the policyholder or group certificate holder and, if the policyholder or group certificate holder is other than the insured, to the insured. In the acknowledgment, the life insurance company may include a general description of any accelerated death benefit that is available under a provision of or rider to the life insurance contract.
(e) If a viatical settlement provider submits to the insurance company a request to effectuate the transfer of a life insurance policy and includes a copy of a certification signed by a viator or insured that meets at least one of the conditions of 3 AAC 31.395(g), the insurance company shall effectuate the transfer of the life insurance policy in a timely manner.
APPENDIX AVERIFICATION OF COVERAGEFOR INDIVIDUAL POLICIES
Section One: (To be completed by the Viatical Settlement Provider or Viatical
Settlement Broker)Insurance Company: _____ Name of Policyowner: _____ Policy Number: _____
Owner's Social Security Number: _____ Name of Insured: _____ Policyowner's Address: _____
StreetInsured's date of birth: _____ _____
City/StatePlease provide the information requested in Section Two (below)
with regard to the policy identified above and in accordance with
the attached authorization.
In addition, please provide the forms checked below which are avail-
able from your company to complete a viatical settlement transaction:
* Absolute Assignment/Change of Ownership/Viatical Assignment
Form* Change of Beneficiary* Release of Irrevocable Beneficiary (if applicable)* Waiver of Premium Claim Form*
Disability Waiver of Premium Approval Letter
_____ _____ DateSignature of a representative of Viatical
Settlement Broker or Viatical Settlement
Provider _____ _____ _____ Full name and address of Viatical Settle-
ment Broker or Viatical Settlement Provider _____ Section Two: (To be completed by the life insurance company)1)
Fact amount of policy: $ _____ 2) Original date of issue: _____ / _____ /
_____ (Month/Date/Year)3) Was face amount increased after original issue date? * no * yesa) If yes, when:
_____ / _____ / _____ 4)Type of policy: _____ (Term/Whole
Life/Universal
Life/Variable Life)5)Is policy participating? * no * yes
If yes, what is current dividend election? _____ 6)Current net death benefit: _____ (Enter full
amount payable, including any additional insurance, and/or
dividends accumulated at interest, minus policy loans, out-
standing interest on policy loans and/or accelerated death
benefits paid)7)a) Current cash value: $ _____ (Enter full amount,
including cash value of any additional insurance and/or
dividends accumulated at interest, minus policy loans
and outstanding interest on policy loans)b) Current surrender value: $ _____ 8)Terms of policy loans: _____ a)
Amount of policy loans: $ _____ b) Amount of outstanding interest on policy loan: $ _____ c) Current interest
rate: _____ 9)Has policy lapsed? * no * yes If yes, when did policy lapse? _____ / _____
/ _____ If policy has lapsed, is coverage continued under non-
forfeiture option? * no * yes If yes, indicate which option, amount of coverage, duration,
etc.: _____ _____ 10)Is policy in force? * no * yes If yes, has the policy been reinstated within the last two
years? * no * yes If yes, date of reinstatement: _____ / _____ / _____
11)Amount of contract/scheduled premiums: $ _____ 12)Current premium mode: _____ (Monthly,
semi-annually,
etc.)When is next premium due? _____ / _____ / _____
(Month/Day/Year)13)Does the policy include a disability premium waiver
provision/rider? * no * yesa) If yes, are premiums currently being waived? * no * yesb) If yes, since when?
_____ / _____ / _____ c) How often is continued eligibility reviewed? _____
d) When is next review? _____ / _____ / _____ 14)Can payment of all or part of
the death benefit be accelerated
under this policy? * no * yesa) If yes, by what method is the benefit calculated, the lien
method or the discount method? _____ b) If lien method, what is the interest rate? _____ c) Can any
remaining death benefit be assigned? * no * yes15)Has a claim for accelerated death benefit been submitted? * no *
yesIf yes, was payment made under this provision? * no * yes Amount paid: _____ Date paid:
_____ 16)Do current records show any assignments of record? * no * yes17)Do current records show any
outstanding liens or encum-
brances of record? * no * yes18)Please identify current primary beneficiaries: _____ Are they named irrevocably, or
is owner otherwise limited in
designation of new beneficiaries? * no * yes19)Have any riders been added to this policy after issue? * no * yesIf yes,
please identify: _____ 20)If an ownership or beneficiary change or assignment were to
be made on this policy, to whom would the completed forms
be sent?
Name: Title: Company Name: Department: Address (No P.O. Box please): City: ST: ZIP: Telephone No.: Fax: The answers
provided reflect information contained in the company's records as
of: _____ (date)
Signature: Name (Printed): Title: Company: Direct Telephone No.: Direct FAX No.:
APPENDIX BVERIFICATION OF GROUP LIFE INSURANCE BENEFITS
Section One: (To be completed by the viatical settlement provider or viatical
settlement broker) Insurance Company
Name of Employee/Member Employer/Policy Name
Insured's Date of Birth Policy Number
Insured's Social Security Number Certificate Number
Employee/Membership Number
Please provide the information requested in Section Two or Section Three, as appropriate, with regard to the individual and

coverage described, in accordance with the attached authorization. In addition, please provide the forms checked below which are available from your company to complete a viatical settlement transaction:* Absolute Assignment* Change of beneficiary (irrevocable if applicable)* Disability Waiver of premium claim or* Disability Waiver of premium award letter _____ _____ DateSignature of a representative of
Viatical Settlement Broker or
Viatical Settlement Provider _____ _____ _____ Full name and address of Via-
tical Settlement Broker or Via-
tical Settlement Provider _____
Section Two: (To be completed by the employer/group policyholder and the
insurer. Both should indicate the parts they completed.) 1)BASIC COVERAGE:a)Is the plan self-insured or is coverage provided under a group
policy issued by a life insurance company? _____ If by a group policy, please provide the name of the insurance company for BASIC life insurance coverage _____ b)Effective date of BASIC life insurance coverage: _____ c)Face amount of BASIC life insurance: _____ d)Does BASIC coverage plan have contestable provisions? * no * yese)Is BASIC coverage subject to a suicide provision? * no * yesf)Monthly premium paid by employer/group policyholder for
BASIC life insurance: $ _____ g)Monthly premium paid by employee/insured for BASIC life
insurance: $ _____ h)Is BASIC life insurance coverage * Term * Universal Life?i) If Universal Life, please indicate each value, if any: _____ ii) Is this amount payable in addition to the face amount? * no * yesi)Is coverage in force? * no * yesj)When is the next premium due? _____ / _____ / _____ k)Have employee's coverage under the plan ever been reinstated? * no * yes If yes, date of reinstatement: _____ / _____ / _____ 2)SUPPLEMENTAL (OPTIONAL) COVERAGEa)Insurance Company for SUPPLEMENTAL life insurance
coverage: _____ b)Effective date of SUPPLEMENTAL life insurance coverage:
_____ / _____ / _____ c)Face amount of SUPPLEMENTAL life insurance:
_____ d)Does SUPPLEMENTAL coverage plan have contestable
provisions? * no _____ * yese)Is SUPPLEMENTAL coverage subject to a suicide provision? * no * yesf)Monthly premium paid by employee/group policyholder for
supplemental life insurance: $ _____ g)Monthly premium paid by employee/insured for SUPPLE-
MENTAL life insurance: $ _____ h)Is SUPPLEMENTAL life insurance * Term * Universal Life?i) If Universal Life, please indicate cash value, if any:
_____ ii) Is this amount payable in addition to the face amount? * no * yesi)Is coverage in force? * no * yes j)When is the next premium due? _____ / _____ / _____ k)Has employee's coverage under this policy been reinstated
within the last two years? * no * yes If yes, date of reinstatement: _____ / _____ / _____ 3)DISABILITY WAIVER OF PREMIUMa)Does plan provide for waiver of premium in the event of em-
ployee/injured's disability?BASIC * no * yes What is the waiting period? _____ SUPPLEMENTAL * no * yes What is the waiting period? _____ b)Are premiums currently being waived under disability
premium waiver?BASIC * no * yesSUPPLEMENTAL * no * yesc)Who pays premiums under disability premium waiver? BASIC * Insurance carrier * EmployerSUPPLEMENTAL * Insurance carrier * Employerd)What was the date of approval? _____ / _____ / _____ e)Next review date? _____ / _____ / _____ f)If the insured is no longer eligible for waiver, what amount of
coverage can be converted to an individual policy?
$ _____ i) Will a new suicide/contestability clause be in effect for
the converted policy? * no * yes ii) Will assignee be notified if insured is no longer eligible
for waiver? * no * yes4)BENEFICIARIES, ASSIGNMENTS AND LIMITATIONSa)Who are the primary beneficiaries of the coverage(s)?BASIC _____ SUPPLEMENTAL _____ b)Is any beneficiary under this policy designated irrevocably, or
is insured otherwise limited in designation of new benefi-
ciaries? * no * yesc)Can this coverage be assigned?BASIC * no * yesIf yes, to a corporation? * no * yesTo someone not related to insured? * no * yesSUPPLEMENTAL * no * yesIf yes, to a corporation? * no * yesTo someone not related to insured? * no * yesd)Do records show any assignments of record? * no * yese)Do records show any outstanding liens or encumbrances
of record? * no * yesf)The following parties (as applicable) should indicate whether
they will provide notice to the assignee if the master policy
is terminated.Group policyholder * no * yesThird party administrator (if any) * no * yesInsurance company * no * yesg)Can Assignee convert the coverage without the permission of
insured? * no * yes5)ACCELERATED DEATH BENEFITSa)Is there an Accelerated Death Benefit available under the coverage?BASIC * no * yesSUPPLEMENTAL * no * yesb)Has request for Accelerated Death Benefit been made? * no * yesc)Has payment been made to insured under this provision? * no * yes i) Amount Paid: _____ Date Paid: _____ / _____ / _____ ii) Is this amount a lien against death proceeds? * no * yes Interest rate _____ iii) Can the remaining death benefit be assigned? * no * 6)MISCELLANEOUSa)Is coverage portable?BASIC * no * yesSUPPLEMENTAL * no * yesb)If insured is no longer eligible for coverage under the group,
will Assignee be notified? * no * yesIf master policy discontinues, what amount can be converted
to an individual policy? $ _____ Is this plan administered by a third party? * no * yesIf yes, please provide the name, address and telephone
number of administrator.
Name: Title: Company name: Department: Street Address: (No P.O. Box please)
City: State: Zip: Telephone number: ( ) Fax: ( ) If a change of beneficiary form or assignment were to be made for this coverage, to whom should the completed forms be sent?
Name: Title: Company name: Department: Street Address: (No P.O. Box please)
City: State: Zip: Telephone number: ( ) Fax: ( ) The answers provided reflect information contained in the company's records as
of: _____ (date)Signature: Name: Date: Title: Company: Direct telephone number: ( ) Direct fax number: ( )
Information not provided by the employer may be obtained from the insurance company if different from administrator identified above:Name: Title: Company name: Department: Address: (No P.O. Box please)
City: State: Zip: Telephone number: ( ) Fax: ( )
Section Three: Under the terms of 3 AAC 31.400, the insurance company or the third party administrator named above is

requested to complete the information not provided by the employer in Section Two, above, Item numbers: _____
The answers provided to the identified questions reflect information in the files of the insurance company as of
_____ (date)
The answers provided reflect information contained in the company's records as of: (date)
Signature: Name: Date: Title: Company: Direct telephone number: ( ) Direct fax number: ( )

3 AAC 31.405. Unfair trade practices.

(a) A person may not commit or participate directly or indirectly in an unfair trade practice involving a viatical settlement transaction.

(b) The director may investigate a suspected unfair trade practice involving a viatical settlement transaction or a person engaged in a viatical settlement transaction and assess a penalty, consistent with AS 21.36.32, for an unfair trade practice involving a viatical settlement transaction.

(c) A person may not knowingly or intentionally interfere with the enforcement of or an investigation of a suspected or actual violation of AS 21.96.110 or 3 AAC 31.300 - 3 AAC 31.449.

(d) A person may not knowingly or intentionally engage directly or indirectly in a viatical settlement transaction with a person convicted of a felony involving dishonesty or breach of trust.

(e) An unfair trade practice is committed by a person

(1) engaged in a viatical settlement transaction in the state relative to a subject resident, located or to be performed in this state who

(A) places or causes to be placed a viatical settlement contract from or through a person not licensed under AS 21.96.110;

(B) pays a commission or other form of remuneration to a person, firm, or organization for placing a viatical settlement contract when the person, firm, or organization is not licensed under AS 21.96.110; or

(C) acts as a viatical settlement provider, viatical settlement broker, or viatical settlement representative without being licensed under AS 21.96.110; or

(2) who

(A) with intent to injure, defraud, or deceive, knowingly makes a false or fraudulent statement or representation or conceals information in or with reference to

(i) an application for a viatical settlement contract;

(ii) underwriting of a viatical settlement contract;

(iii) claim for payment of benefit under a viatical settlement contract;

(iv) premiums paid on an insurance policy under a viatical settlement contract;

(v) payment and changes in ownership or beneficiary made in accordance with the terms of the viatical settlement contract and life insurance policy;

(vi) reinstatement or conversion of a life insurance policy;

(vii) a solicitation, offer, effectuation, or sale of a viatical settlement contract;

(viii) the issuance of evidence of a viatical settlement contract; or

(ix) a viatical settlement financing transaction;

(B) viaticates or attempts to viaticate a life insurance policy fraudulently obtained by an insured, owner of the life insurance policy, or agent of the insured or owner of the life insurance policy;

(C) makes a false, sworn statement that the person does not believe to be true regarding a matter material to an examination, investigation, or hearing of the division involving a viatical settlement transaction;

(D) in a matter material to an examination, investigation, or hearing by the division involving a viatical settlement transaction, makes two or more sworn statements that are irreconcilably inconsistent to the degree that one of them is necessarily false and the person does not believe one of the statements to be true at the time the statement is made;

(E) with intent to deceive, knowingly exhibits a false account, document, or advertisement relative to the affairs of a viatical settlement provider or viatical settlement broker;

(F) wrongfully removes, conceals, alters, destroys, or sequesters from the director the assets or records relating to a viatical settlement transaction, or attempts to remove records relating to a viatical settlement transaction from the place they are required to be kept under 3 AAC 31.425;

(G) falsely makes, completes, or alters a viatical settlement contract or other document relating to a viatical settlement transaction;

(H) knowingly possesses a forged viatical settlement contract or other document viatical settlement transaction;

(I) knowingly enters into a forged viatical settlement contract or other document related to a viatical settlement transaction;

(J) misrepresents or conceals the financial condition of a licensee, insurer, or other person;

(K) embezzles, steals, misappropriates, or converts monies, funds, premiums, credits, or other property of a viator, insured, insurer, viatical settlement provider, or other person involved in a viatical settlement transaction; or

(L) discriminates in the making or solicitation of a viatical settlement contract on the basis of race, age, sex, national origin, creed, religion, occupation, marital or family status, or sexual orientation, or discriminates between viators with or without dependents.

(f) A viatical settlement provider or a viatical settlement broker shall develop and implement antifraud initiatives to detect, prosecute, and prevent a fraudulent act involving a viatical settlement transaction, including

(1) obtaining services of a fraud investigator through employment or by contract; and

(2) developing an antifraud plan that includes

(A) a description of the procedures for detecting and investigating a possible fraudulent act involving a viatical settlement transaction and procedures for resolving material inconsistencies between medical records and insurance applications;

(B) a description of the plan for antifraud education and training of personnel; and

(C) a chart outlining the organizational arrangement of the antifraud personnel who are responsible for the investigation and reporting of a possible fraudulent act involving a viatical settlement transaction and investigating unresolved material inconsistencies between medical records and insurance transactions.

(g) An act by a person or by the person's employee appointed or authorized to represent a viatical settlement broker or viatical settlement provider is considered an act of the person who appointed or authorized the person or the person's employee.

3 AAC 31.410. Examination of viatical settlement providers, viatical settlement brokers, and viatical settlement representatives.

(a) The director may examine the affairs, transactions, accounts, records, and assets of a licensed or formerly licensed viatical settlement provider, viatical settlement broker, or viatical settlement representative.
(b) In the place of an examination by the director, the director may accept a full examination report of the last recent examination of a licensed viatical settlement provider, viatical settlement broker, or viatical settlement representative certified to by the insurance supervisory official of another state, territory, commonwealth, or district of the United States.

3 AAC 31.415. Conduct of examination.

(a) The director may conduct an examination under 3 AAC 31.410 at the business office of the viatical settlement provider, viatical settlement broker, or viatical settlement representative.
(b) Each person being examined or from whom information is sought, and that person's officers, employees, and agents shall provide to the director timely, convenient, and free access, at all reasonable hours at its office, to the books, records, accounts, papers, documents, assets, and computer files or other recordings relating to the property, assets, business, and affairs of the person being examined, and shall facilitate and aid the examination as far as it is in their power to do so, including providing to the director, at the expense of the person being examined, a copy of any document requested during the examination. The director may suspend, revoke, or refuse to issue or renew a license or authority of a person engaging in a viatical settlement transaction or other business under the jurisdiction of the director if the person or an officer, director, employee, or agent of the person refuses to submit to examination or to comply with a reasonable written request of the director.
(c) When conducting an examination under this section, the director may retain attorneys, appraisers, independent actuaries, independent certified public accounts, or other professionals and specialists as examiners, the reasonable costs of which shall be paid by the person being examined.
(d) The director may terminate or suspend an examination in order to pursue other legal or regulatory action under AS 21.
(e) The director will not appoint an examiner who has a conflict of interest with, is affiliated with the management of, or owns a pecuniary interest in a person subject to an examination. This section does not preclude an examiner from being a viator, an insured in a viaticated policy, or a beneficiary in a life insurance policy that is proposed to be viaticated.

3 AAC 31.420. Examination reports and expenses.

(a) A report of an examination by the director under 3 AAC 31.410 and 3 AAC 31.415 will be issued in conformance with the requirements of AS 21.06.150.
(b) Expenses incurred in an examination by the director under 3 AAC 31.410 and 3 AAC 31.415 will be administered in conformance with AS 21.06.160.

3 AAC 31.425. Records.

(a) For at least five years after the death of the insured, a viatical settlement provider, a viatical settlement broker, or a viatical settlement representative shall maintain all records of a viatical settlement transaction, including
(1) accounting and financial records;
(2) proposed, offered, or executed viatical settlement contracts, underwriting documents, policy forms, and applications;
(3) all checks, drafts, or other evidence and documentation related to the payment, transfer, deposit, or release of money on or after the date of the transaction; and
(4) documents or records related to requirements under AS 21.96.110 and 3 AAC 31.300 - 3 AAC 31.449.
(b) The records required under (a) of this section must be made available to the director for inspection during reasonable business hours at the licensee's place of business.
(c) The viatical settlement broker shall keep as a permanent record the written contract required under 3 AAC 31.330 and make the contract available for inspection by the director during reasonable business hours.

3 AAC 31.449. Definitions.

In 3 AAC 31.300 - 3 AAC 31.449, unless the context requires otherwise,
(1) "chronically ill" means
(A) being unable to perform at least two activities of daily living; in this subparagraph, "activities of daily living" means
(i) eating;
(ii) toileting;
(iii) transferring;
(iv) bathing;
(v) dressing; and
(vi) continence; or
(B) requiring substantial supervision to protect the insured from threats to health and safety due to severe cognitive impairment;
(2) "compliance officer" means a licensee responsible for a firm's compliance with AS 21 and 3 AAC 31.300 - 3 AAC 31.449;
(3) "firm" has the meaning given in AS 21.97.900;
(4) "home state" means the District of Columbia or a state or territory of the United States in which a viatical settlement provider, viatical settlement broker, or viatical settlement representative maintains that person's principal place of residence or principal place of business and is licensed to act as a viatical settlement provider, viatical settlement broker, or viatical settlement representative;
(5) "individual" means a natural person who is required to be licensed under AS 21.96.110 and 3 AAC 31.300 - 3 AAC 31.449;
(6) repealed 10/13/2011;
(7) "insured" means the person covered under an insurance policy that has been viaticated or that is proposed to be viaticated;
(8) "life expectancy" means the average number of months an insured under a life insurance policy to be viaticated can be expected to live as determined by a viatical settlement provider considering medical records and appropriate experiential data;
(9) "net death benefit" means the amount of a life insurance policy or certificate to be viaticated, less any outstanding debts or liens;
(10) "patient identifying information" means
(A) an insured's address, telephone number, facsimile number, electronic mail address, photograph or other likeness, employer, employment status, or social security number; or
(B) information that is likely to lead to the identification of the insured;

(11) "person" has the meaning given in AS 21.97.900 and includes a limited liability company;

(12) "resident" has the meaning given in AS 21.27.900;

(13) "spousal equivalent" means a person who is cohabiting with another person in a relationship that is like a marriage but that is not a legal marriage;

(14) "terminally ill" means having an illness or disease that can reasonably be expected to result in death in 24 months or less;

(15) "viatical settlement financing entity" means an underwriter, placement agent, lender, purchaser of securities, purchaser of a life insurance policy from a viatical settlement provider, credit enhancer, reinsurer, or person that is a party to a viatical settlement contract and that has a direct ownership in a life insurance policy that is the subject of a viatical settlement contract but whose sole activity related to the transaction is providing funds to effect the viatical settlement contract and that has an agreement in writing with a viatical settlement provider to act as a participant in a viatical settlement financing transaction;

(16) "viatical settlement financing transaction" means a transaction in which a viatical settlement provider or a viatical settlement financing entity obtains financing for viatical settlement contracts, viaticated policies, or interests in those contracts or policies; "viatical settlement financing transaction" includes secured or unsecured financing, a securitization transaction or securities offering either registered or exempt from registration under federal and state law, or a direct purchase of interests in that policy, if that financing transaction complies with federal and state securities law;

(17) "viaticate" means to enter into a viatical settlement contract;

(18) "working day" means a calendar day other than Saturday, Sunday, an official federal holiday, or an official holiday in this state.

Article 4
Comprehensive Health Insurance Association Reinsurance Program

3 AAC 31.500. Purpose and applicability.

(a) The purpose of 3 AAC 31.500 - 3 AAC 31.549 is to

(1) implement a reinsurance program for high risk residents in the individual health care insurance market in order to stabilize health care insurance premiums;

(2) encourage participation in this state's individual health care insurance market; and

(3) allow the director to apply to the United States Secretary of Health and Human Services under 42 U.S.C. 18052 for a waiver of applicable provisions of P.L. 111-148 (Patient Protection and Affordable Care Act).

(b) Except for a health care insurance plan providing grandfathered health care coverage and a health care insurance plan providing transitional health care coverage, 3 AAC 31.500 - 3 AAC 31.549 applies to a health care insurance plan in the individual market offered on or off a health care exchange.

(c) A health care insurer shall cede to the program the risk associated with insuring an eligible high risk resident who is issued a health care insurance plan in the individual market on or after January 1, 2017 and before the cessation of the program.

(d) Nothing in 3 AAC 31.500 - 3 AAC 31.549 requires a health care insurer to offer or issue a health care insurance plan in the individual market.

3 AAC 31.505. Establishment of high risk reinsurance program.

(a) There is established within the Comprehensive Health Insurance Association a program to reinsure high risk residents of this state diagnosed with one or more of the covered conditions under 3 AAC 31.540. The program will be referred to as the Alaska Reinsurance Program.

(b) The Alaska Reinsurance Program will have a segregated fund established within the association. The segregated fund will hold all receipts and make all disbursements related to the program. All obligations of the Alaska Reinsurance Program, including payment or reimbursements of claims and expenses, will be limited to the monies available within the program fund.

(c) The association shall administer the reinsurance program under a contract with the director. The program will have its own plan of operation to establish administrative and accounting procedures necessary or proper to implement and administer the program.

(d) The Alaska Reinsurance Program becomes effective January 1, 2017.

3 AAC 31.510. Association duties.

(a) The association shall establish a plan of operation for the administration and operation of the Alaska Reinsurance Program under which a health care insurer shall cede the risk of a high risk resident to the program. The plan of operation must include

(1) a description of the data a health care insurer submitting a reinsurance payment request must provide to the association for the association to implement and administer the reinsurance program, including data necessary for the association to determine a health care insurer's eligibility for reinsurance payments;

(2) guidance to insurers relating to diagnosis codes for identifying residents with covered conditions under the program;

(3) the manner and time period in which a health care insurer must

(A) provide the data described under (1) of this subsection;

(B) pay the quarterly

(i) premium amounts required to be paid under 3 AAC 31.515(b); and

(ii) pharmacy rebates required to be paid under 3 AAC 31.515(c); and

(C) cede risk under this section;

(4) requirements for reporting and processing reports submitted by health care insurers as required by the association;

(5) requirements for conducting audits under 3 AAC 31.530; and

(6) details of an annual actuarial study of this state's individual market that

(A) measures the impact of the program;

(B) recommends funding levels; and

(C) reveals emerging conditions within the market.

(b) The association shall accept a risk ceded to it with respect to a high risk resident in compliance with 3 AAC 31.500 - 3 AAC 31.549 effective on the date coverage becomes effective with the health care insurer and shall continue to accept a risk ceded to it until March 31 of the year following the calendar year in which the high risk resident's coverage becomes effective with the health care insurer or, if earlier, the date on which the coverage terminates or the reinsurance program ceases active operation.

(c) The association shall establish a process to reimburse, on a quarterly basis, participating health insurers for claims paid with respect to risk ceded to the program.
(d) The association shall ensure, in accordance with applicable provisions of generally accepted accounting requirements, circulars on funds management of the United States Office of Management and Budget, and guidance on accounting of the United States Government Accountability Office, that the Alaska Reinsurance Program uses no federal funds for coverage of abortion services described under 42 U.S.C. 18023(b)(1)(B)(i).

3 AAC 31.515. Health care insurer eligibility for reinsurance payments.
(a) A health care insurer is eligible for reinsurance payments to reimburse the insurer for the claims of a high risk resident for a benefit year if the health care insurer
(1) provides evidence to the association that the health care insurer has paid a claim of a high risk resident for the applicable benefit year that is for a covered condition listed under 3 AAC 31.540;
(2) continues to pay the claims of a high risk resident for the applicable benefit year;
(3) pays to the association, under (b) of this section, the premium amount the health care insurer receives under the insurance policy for the applicable benefit year covering the eligible high risk resident;
(4) pays to the association, under (c) of this section, pharmacy rebates the health care insurer receives for the applicable benefit year for health care services provided to the applicable high risk resident; and
(5) reports to the association payments, applicable to the high risk resident, the health care insurer collects for
(A) third party liabilities;
(B) payments the health care insurer recovers for overpayments;
(C) payments for commercial reinsurance recoveries; and
(D) estimated federal cost-sharing reduction payments made under 42 U.S.C. 18071.
(b) The health care insurer shall pay to the association the separately identifiable premium amount the health care insurer received under the insurance policy for the applicable benefit year covering the eligible high risk resident on a quarterly basis not later than the dates set by the association and specified in the association's plan of operation after the association accepts a risk ceded to it with respect to a high risk resident. If the high risk resident is covered under a family policy and the high risk resident has a separately identifiable premium equal to $0, the health care insurer shall pay to the association the highest separately identifiable premium under the family policy. For each additional high risk resident covered under a family policy who has a separately identifiable premium equal to $0, the health care insurer shall pay to the association the next highest separately identifiable premium under the family policy.
(c) A health care insurer shall pay to the association a pharmacy rebate required to be paid to the association under (a)(4) of this section on a quarterly basis in conjunction with the payment of premiums under (b) of this section.

3 AAC 31.520. Health care insurer duties and rules.
(a) A health care insurer shall comply with the requirements established by the association in order to cede a risk to the association.
(b) A health care insurer shall continue to administer and manage the policy for risk ceded to the association in accordance with the terms of the insurance policy and with the insurance law of this state.
(c) A health care insurer shall offer individuals that may be ceded to the association the same plans offered to other individuals.
(d) A health care insurer may not vary premium rates based on whether a risk is ceded to the association.
(e) A health care insurer shall cede a risk to the association with respect to a high risk resident during the period beginning on the date the high risk resident's coverage becomes effective with the health care insurer and ending on March 31 of the year following the calendar year in which the high risk resident's coverage becomes effective with the health care insurer. A health care insurer required to cede risk with respect to a high risk resident to the association in a subsequent calendar year shall re-cede that risk for that calendar year. A health care insurer shall use the dates set by the association and specified in the association's plan of operation when ceding a risk required to be ceded to the association under this subsection.
(f) A health care insurer shall submit to the program claims incurred during a calendar year for a ceded risk not later than April 30 after that calendar year for the claim to be eligible for reimbursement from the program.

3 AAC 31.525. Premiums and other financial matters.
(a) A health care insurer shall forward all premiums to the association for each risk ceded to the program and may not retain any portion of the premium.
(b) A health care insurer shall report to the association amounts collected by a health care insurer for
(1) third party liabilities;
(2) overpayment recoveries;
(3) estimated federal cost-sharing reduction payments made under 42 U.S.C. 18071;
(4) commercial reinsurance recoveries;
(5) pharmacy rebates; and
(6) any other similar amounts with respect to risk ceded to the program.
(c) The association shall retain all premiums it receives in excess of administrative and operational expenses and claims paid for ceded risks in a calendar year and shall apply any excess premiums toward payment of future administrative and operational expenses and claims incurred by ceded risks in subsequent years of the program.
(d) Premiums received by the association for the program will be used first to pay, or to establish reasonable reserves for payment of, administrative and operational expenses of the program and second to pay claims for risks ceded to the program.

3 AAC 31.530. Accounting, reporting, and auditing.
(a) A health care insurer that cedes a risk to the program shall submit to the program all data and information when required by the association and in the manner and format required by the association. The data and information must include
(1) eligibility information;
(2) claims information; and
(3) premium information.
(b) The association shall maintain its books, records, accounts, and operations on a calendar-year basis.
(c) The association shall conduct a final accounting and annual claims true-up with respect to each calendar year after April 30 of the following calendar year.
(d) Claims with respect to ceded risk that are incurred during a calendar year and are submitted for reimbursement not later than April 30 of the following calendar year will be allocated to the calendar year in which they are incurred. The

association may not reimburse claims submitted after April 30 following the calendar year in which they are incurred.
(e) If the total receipts of the fund with respect to a calendar year are expected to be insufficient to pay all program expenses, claims for reimbursement, and other disbursements allocable to that calendar year, all claims for reimbursement allocable to that calendar year will be reduced proportionately to the extent necessary to prevent a deficit in the fund for that calendar year. Any reduction in claims for reimbursement with respect to a calendar year will apply to all claims allocable to that calendar year without regard to when those claims are submitted for reimbursement, and any reduction will be applied to each claim in the same proportion.
(f) The association shall establish a process for auditing each health care insurer ceding risk to the program. Audits may include both a baseline audit conducted in connection with commencement of an insurer's participation in the program and periodic audits up to four times a year throughout the insurer's participation in the program.
(g) The association shall engage an independent qualified auditing entity to perform a financial and programmatic audit for each benefit year in accordance with generally accepted auditing standards. The association shall provide a copy of the audit to the director at the time the association receives the audit. The association shall make a public summary of the results of the audit. The public summary must be made available within a time period and in a manner that a prudent person would consider to be timely and informative.
(h) The director or the director's designee may conduct financial and programmatic audits of the reinsurance program and the association to assess compliance with

(1) 3 AAC 31.500 - 3 AAC 31.549;
(2) the contract between the director and the association; and
(3) the plan of operation established for the administration and operation of the program.

3 AAC 31.535. Annual true-up.

(a) The association shall establish a true-up process with respect to a calendar year to reflect adjustments made in establishing the final accounting for that calendar year, including crediting of premiums received with respect to risk ceded after the end of the calendar year and retroactive reductions or other adjustments in reimbursements necessary to prevent a deficit in the fund for that calendar year and to prevent a windfall to an insurer as a result of third party recoveries, recovery of overpayments, commercial reinsurance recoveries, or risk adjustments made under 42 U.S.C. 18063 (sec. 1343 of the Patient Protection and Affordable Care Act, P.L. 111-148). The true-up must occur after April 30 following the calendar year to which it relates.
(b) With respect to the risk adjustment transfers as determined by the United States Department of Health and Human Services, Centers for Medicare and Medicaid Services, Center for Consumer Information and Insurance Oversight (CCIIO),

(1) the director or the director's designee will review the risk adjustment transfers to determine the impact of the ceding of risk to the program;
(2) the review will occur not later than 60 days after publication of the notice of final risk adjustment transfers by the Center for Consumer Information and Insurance Oversight;
(3) the director or director's designee will notify a health care insurer of the amount of any risk adjustment transfer it received that does not accurately reflect benefits provided under the program and
(A) the health care insurer shall pay that amount to the program not later than 30 days after receipt of the notice from the director or the director's designee; and
(B) as appropriate, the director or the director's designee will refund that amount to the health care insurer or insurers that made the federal risk adjustment payment; and
(4) to facilitate the true-up process, a health care insurer shall submit to the director or the director's designee, in a form and manner determined by the director or the directors' designee, all data requested by the director in a data call in March of the year following the year to which the risk adjustment applies.

3 AAC 31.540. Covered conditions.

A resident of this state diagnosed with one or more of the following covered conditions under this section is a high risk resident under 3 AAC 31.500 - 3 AAC 31.549:

(1) human immunodeficiency virus or acquired immune deficiency syndrome (HIV/AIDS);
(2) septicemia sepsis, systemic inflammatory response syndrome/shock;
(3) metastatic cancer;
(4) lung, brain and other severe cancers, including pediatric acute lymphoid leukemia;
(5) non-Hodgkin's lymphomas and other cancers and tumors;
(6) mucopolysaccharidosis;
(7) lipidoses and glycogenosis;
(8) amyloidosis, porphyria, and other metabolic disorders;
(9) end-stage liver disease;
(10) chronic hepatitis;
(11) acute liver failure or disease, including neonatal hepatitis;
(12) intestinal obstruction;
(13) chronic pancreatitis;
(14) inflammatory bowel disease;
(15) rheumatoid arthritis and specified autoimmune disorders;
(16) hemophilia;
(17) acquired hemolytic anemia, including hemolytic disease of newborn;
(18) sickle cell anemia (Hb-SS);
(19) thalassemia major;
(20) coagulation defects and other specified hematological disorders;
(21) anorexia/bulimia nervosa;
(22) paraplegia;
(23) amyotrophic lateral sclerosis and other anterior horn cell disease;
(24) quadriplegic cerebral palsy;
(25) cerebral palsy, except quadriplegic;
(26) myasthenia gravis/myoneural disorders and Guillain-Barre syndrome/inflammatory and toxic neuropathy;
(27) multiple sclerosis;
(28) Parkinson's, Huntington's and spinocerebellar disease, and other neurodegenerative disorders;
(29) cystic fibrosis;
(30) end-stage renal disease;
(31) premature newborns, including birthweight 2,000 - 2,499 grams;
(32) stem cell, including bone marrow, transplant status/complications;

(33) amputation status, lower limb/amputation complications;
(34) cardio-respiratory failure and shock, including respiratory distress syndromes.

3 AAC 31.549. Definitions.

In 3 AAC 31.500 - 3 AAC 31.549,

(1) "association" means the Comprehensive Health Insurance Association established under AS 21.55.010 - 21.55.060;

(2) "Comprehensive Health Insurance Association" means the nonprofit incorporated legal entity established under AS 21.55.010 - 21.55.060;

(3) "covered condition" means high risk resident's health condition, injury, illness, or disease that is listed under 3 AAC 31.540;

(4) "diagnosis code" means a universal code that a health care provider uses to identify a person's diagnosis;

(5) "director" means the director of the division of insurance;

(6) "fund" means the segregated fund established within the association to hold all receipts and make all disbursements related to the program;

(7) "grandfathered health care coverage" means coverage provided by an individual health care insurance policy purchased before March 23, 2010;

(8) "health care exchange" has the meaning given in AS 21.51.500;

(9) "health care insurance plan" has the meaning given in AS 21.42.599;

(10) "health care insurer" has the meaning given in AS 21.54.500;

(11) "health care provider" has the meaning given in AS 21.07.250;

(12) "high risk resident" means a resident of this state who has been diagnosed with one or more of the covered conditions under 3 AAC 31.540;

(13) "individual market" has the meaning given in AS 21.51.500;

(14) "program" means the reinsurance program authorized under AS 21.55.400 and established under 3 AAC 31.500 - 3 AAC 31.549;

(15) "transitional health care coverage" means coverage provided by an individual health care insurance policy purchased after March 22, 2010 and before January 1, 2014.

Article 5
Air Ambulance Services

3 AAC 31.600. Term of initial provider registration period; renewal.

(a) An initial provider biennial registration period ends on June 30 of the renewal year assigned by the division at the time the director approves the initial provider registration. Except as provided in (b) of this section, the initial provider biennial registration period consists of the remainder of the calendar year in which the provider registration is approved and the first six months of the following calendar year.

(b) If the director approves a provider registration on or after April 1, but before January 1, the initial provider biennial registration period consists of the remainder of the calendar year in which the provider registration is approved and all of the following 18 months.

(c) A provider's biennial registration period ends on June 30 of the provider's biennial registration period. A provider is responsible for knowing the date that a provider's biennial registration period ends. To renew a registration, a provider must submit a renewal provider registration application for the next provider biennial registration period by June 1 of the year the provider's biennial registration period ends.

3 AAC 31.610. Provider registration.

(a) A person may not sell, solicit, or negotiate a membership agreement in this state unless registered as a provider under this section. Initial provider registration applications may be filed at any time. Renewal provider registration applications shall be filed on or before June 1 of the year the provider's current provider biennial registration period ends.

(b) An initial provider registration application must include

(1) payment of the initial biennial registration application fee under 3 AAC 31.060(a)(32);

(2) a completed provider registration application form prescribed by the director that includes the

(A) name of each state in which the applicant is authorized to offer membership agreements;

(B) name of the state in which the applicant is domiciled;

(C) name of the applicant;

(D) "doing business as" name of the applicant;

(E) complete physical address, mailing address, electronic mail address, phone number, and facsimile number of the

(i) applicant's principal place of business in the applicant's state of domicile; and

(ii) applicant's principal place of business in this state;

(F) electronic mail address the applicant wants the division to use to communicate with the applicant;

(G) internet address of the applicant; and

(H) federal employer identification number of the applicant;

(3) a copy of the business license issued to the applicant by the department;

(4) for registrations filed

(A) before January 1, 2017, audited or reviewed financial statements for each of the preceding two calendar years;

(B) on or after January 1, 2017, audited financial statements for each of the preceding two calendar years;

(5) a biographical information affidavit for each officer, director, and individual acting in a fiduciary capacity that includes

(A) the affiant's full name;

(B) the physical address, mailing address, electronic mail address, telephone number, and facsimile number where the affiant works;

(C) the affiant's employment record for the past ten years which includes for each office and position held the

(i) affiant's title;

(ii) beginning and ending dates;

(iii) employer's name, address, and telephone number;

(iv) type of business; and

(v) name of the affiant's supervisor or contact person;

(D) any judicial, administrative, regulatory, or disciplinary action during the past ten years taken against any

occupational, professional, or vocational license or permit the affiant holds or has held;

(E) any guilty or nolo contendere plea, or conviction of a crime during the past ten years, other than a minor traffic violation; and

(F) any civil action in which the affiant is or was a party during the past ten years involving dishonesty, breach of trust, or a financial dispute;

(6) a plan of operation satisfactory to the director that demonstrates the applicant has the financial resources necessary to sustain operations for at least two years with qualified staff at the proposed level of service and in the proposed service area or areas;

(7) a plan demonstrating actions the applicant will take should the applicant cease operations;

(8) a copy of each proposed membership agreement, proposed fee or other consideration, and the expected ratio of the total annual membership benefits to the total amount of annual considerations;

(9) all agreements directly or indirectly associated with membership agreements including reciprocal provider agreements, aircraft lease agreements, and service contracts;

(10) a certification issued by the Department of Health under AS 18.08.082(a)(3); and;

(11) a detailed description of any criteria used in determining who is eligible for a membership agreement.

(c) In complying with (b)(5)(D), (E), and (F) of this section, no response is required if a record has been sealed or expunged, and the affiant has personally verified that the record was sealed or expunged. If a response is required, the affiant shall provide the

(1) nature of the action or crime;

(2) date;

(3) location; and

(4) disposition.

(d) A renewal provider registration application must include

(1) the renewal biennial registration application fee under 3 AAC 31.060(a)(33); and

(2) all of the requirements under (b)(2) - (11), and (c) of this section.

(e) If a change occurs in the information submitted to the director in a registration application, a provider shall update the information in the registration application by sending the changes to the director in writing not later than 30 days after the change. If an officer, director, or person acting in a fiduciary capacity is appointed after the registration application has been filed with the director, the provider shall file a biographical information affidavit not later than 30 days after the appointment of the person.

(f) The following information received by the director under this section is confidential and not subject to public inspection:

(1) biographical information affidavits;

(2) information that is confidential under AS 21.06.060.

3 AAC 31.620. Provider bond requirements.

(a) A registration will not be issued by the director unless the provider posts with the director a bond in the amount of $100,000, issued by a corporate surety authorized under AS 21 to act as surety and conditioned upon the provider's faithful fulfillment of its membership agreements. The director will surrender the bond after the provider has been registered in this state for two years.

(b) The bond requirements under (a) of this section apply only to a provider who does not provide evidence satisfactory to the director at the time the provider files its initial registration that the provider has been in operation in this state for at least two years.

3 AAC 31.630. Reinstatement, suspension, or revocation of registration.

(a) If a producer fails to file its provider renewal biennial registration application for the next biennial renewal period by July 30 in the year the provider's biennial registration period ends, the provider may not solicit or write a new membership agreement in this state until the provider submits a provider renewal biennial registration application under 3 AAC 31.610 and pays the fee under 3 AAC 31.060(a).

(b) The director, after a hearing, may suspend or revoke a provider registration for any of the following causes:

(1) failure to meet the provider registration application requirements under 3 AAC 31.610;

(2) failure to meet the provider bond requirements under 3 AAC 31.620;

(3) failure to comply with membership agreements issued to residents of this state;

(4) the provider is in unsound condition, or in a condition, or using methods or practices in the conduct of its business, that render its further transaction of insurance in this state injurious or hazardous to its air ambulance service members or to the public;

(5) ceasing provider operations in this state without first providing at least 60 days' notice by certified mail to the director and obtaining the director's written authorization.

(c) Suspension of a provider's registration shall be for a fixed period of time determined by the director, or until the occurrence of a specific event necessary for remedying the reasons for suspension. The director may modify, rescind or reverse a suspension under this section.

(d) During the period of suspension, the provider

(1) may not solicit or write a new or renewal membership agreement in this state;

(2) shall file its renewal biennial provider registration application and pay the fee required under 3 AAC 31.060(a); and;

(3) may service its outstanding membership agreements in force in this state as if the registration had continued in full force.

3 AAC 31.640. Trade practices.

(a) If the benefits under a membership agreement are in whole or in part contingent upon a medical necessity determination by the provider,

(1) medical necessity must be determined by a qualified medical professional; and

(2) what constitutes medical necessity must be clearly defined in the membership agreement.

(b) A provider shall comply with 3 AAC 26.605 - 3 AAC 26.749;

(c) A membership agreement must include

(1) a statement that the membership agreement is an insurance contract;

(2) the effective date of the agreement;

(3) a grace period of 30 days for payment of a renewal air ambulance service membership fee;

(4) a free-look period of 10 days during which a membership agreement may be returned by the member with a full refund of any air ambulance service membership fee; and

(5) if eligibility for a membership agreement is contingent upon the member's current and continuing insurance

coverage, a description of what constitutes acceptable insurance coverage.
(d) A provider may not condition membership or continued membership on a person's health status.
(e) A membership agreement may not contain a provision asserting exclusive or discretionary authority to interpret the terms of the agreement.
(f) An air ambulance service membership fee or other consideration must be reasonable in relation to the benefits provided under a membership agreement and in aggregate must reasonably approximate the amounts that the members would expect to pay in the absence of the membership agreement over the period covered by the membership agreement.

3 AAC 31.650. Membership agreements.
(a) A membership agreement may not be issued or renewed in this state unless
(1) filed with and approved by the director under AS 21.42.120; and
(2) in compliance with 3 AAC 31.205, 3 AAC 31.215(c) - 3 AAC 31.215(h), and 3 AAC 31.250.
(b) A provider may deliver a membership agreement consistent with AS 21.42.250(c).

3 AAC 31.660. Provider records.
(a) A provider shall establish and maintain on an annual basis complete and accurate records and accounts of the provider's transactions and operations in this state.
(b) A provider shall reply in writing not later than 10 working days to a records inquiry of the director. The director may inspect or request summary or detailed copies of records and accounts for examination by the division.

3 AAC 31.690. Definitions.
In 3 AAC 31.600 - 3 AAC 31.690,
(1) "membership agreement" means an air ambulance membership agreement as defined under AS 21.61.110(2);
(2) "provider" means an air ambulance service provider as defined under AS 21.61.110(3).

Article 6
Motor Vehicle Service Contracts

3 AAC 31.700. Applicability.
Unless exempted under AS 21.59.120, the provisions of 3 AAC 31.700 - 3 AAC 31.729 apply to a
(1) motor vehicle service contract marketed, offered for sale, sold, administered, or issued to, or made with, a consumer in this state;
(2) motor vehicle service contract provider marketing, offering for sale, selling, issuing, or making a motor vehicle service contract in this state; and
(3) motor vehicle service contract administrator responsible for the administration of a motor vehicle service contract or motor vehicle service contract plan in this state.

3 AAC 31.705. Term of initial provider license period; biennial renewal.
(a) Except as provided in (b) of this section,
(1) the term of an initial biennial motor vehicle service contract provider firm license begins on the date the director issues the license and ends two years later; and
(2) the date the term of an initial biennial motor vehicle service contract provider firm license ends is the biennial renewal date for the licensee's motor vehicle service contract provider firm license.
(b) If the firm applying for an initial biennial motor vehicle service contract provider firm license is currently licensed under AS 21.27, the term of the initial biennial motor vehicle service contract provider firm license is the same as the licensee's current license. The biennial renewal date for the motor vehicle service contract provider firm license is the same date as the biennial renewal date for the licensee's current license.

3 AAC 31.710. Provider application.
(a) An applicant for a motor vehicle service contract provider license shall
(1) file an application on a form prescribed by the director; and
(2) pay the fee required under 3 AAC 31.060(a).
(b) An applicant for a motor vehicle service contract provider firm license shall submit the following information and documents directly to the division:
(1) a copy of all organizational documents including, as applicable, articles of incorporation, bylaws, articles of association, and operating or partnership agreements;
(2) proof of financial responsibility meeting the requirements under AS 21.59.180 by providing evidence of
(A) insurance meeting the requirements under AS 21.59.180(a)(1); or
(B) financial stability meeting the requirements under AS 21.59.180(a)(2);
(3) if the applicant's parent company's annual report filed with the United States Securities and Exchange Commission or the applicant's parent company's audited financial statements are filed with the division to meet the applicant's financial stability requirement under (2)(B) of this subsection, a notarized statement that is signed by an authorized officer of the parent company and that guarantees the obligations of the applicant relating to motor vehicle service contracts sold by the applicant in this state;
(4) if the applicant appoints a motor vehicle service contract administrator to administer all or a part of a motor vehicle service contract in this state, for each motor vehicle service contract administrator, the administrator's
(A) name;
(B) mailing address;
(C) telephone number; and
(D) electronic mail address that the motor vehicle service contract administrator wants the division to use to communicate with the motor vehicle service contract administrator; and
(5) the name of the agent registered in this state upon whom process, notice, or demand required or permitted by law to be served upon the applicant may be served.
(c) A natural person who is an employee or agent of a firm licensed as a motor vehicle service contract provider under 3 AAC 31.700 - 3 AAC 31.729 is not required to be licensed or registered as a motor vehicle service contract provider or a motor vehicle service contract administrator.

3 AAC 31.715. Provider qualifications.
(a) A motor vehicle service contract provider may not market, offer for sale, sell, issue, or make a motor vehicle service contract in this state unless the provider meets the qualifications under AS 21.59.110 - 21.59.290 and this section.
(b) A motor vehicle service contract provider is qualified to market, offer for sale, sell, issue, or make a motor vehicle

service contract in this state if the provider

(1) has an approved motor vehicle service contract provider application on file with the director;

(2) has paid the motor vehicle service contract provider initial application or biennial renewal fee under 3 AAC 31.060(a); and

(3) is currently licensed in good standing in this state.

(c) An applicant for a motor vehicle service contract provider license shall establish to the satisfaction of the director that the applicant is

(1) qualified under AS 21.59.110 - 21.59.290;

(2) trustworthy;

(3) competent; and

(4) financially responsible.

(d) The director will consider an applicant for a motor vehicle service contract provider firm license to have met the requirements under (c)(1) - (3) of this section if the applicant has not committed an act that is the cause for denial, nonrenewal, suspension, or revocation of a license in this state or another state and

(1) is currently licensed and in good standing as a motor vehicle service contract provider in another state; or

(2) provides information that demonstrates to the satisfaction of the director the applicant's ability to competently perform the functions of a motor vehicle service contract provider in this state.

(e) The director will consider an applicant for a motor vehicle service contract provider firm license to have met the requirement under (c)(4) of this section if the applicant meets the requirements under 3 AAC 31.710(b)(2).

3 AAC 31.720. Administrator registration.

(a) An applicant for a motor vehicle service contract administrator registration shall

(1) file an application on a form prescribed by the director; and

(2) pay the fee required under 3 AAC 31.060(a).

(b) An applicant for a motor vehicle service contract administrator registration shall submit the following information and documents directly to the division:

(1) if the applicant is appointed by a motor vehicle service contract provider to be a motor vehicle service contract administrator to administer all or a part of a motor vehicle service contract in this state, for each motor vehicle service contract provider, the provider's

(A) name

(B) mailing address;

(C) telephone number; and

(D) electronic mail address that the motor vehicle service contract provider wants the division to use to communicate with the motor vehicle service contract provider.

(c) The term of an initial biennial motor vehicle service contract administrator registration begins on the date the director determines the motor vehicle service contract administrator registration is complete and ends two years later.

(d) The date the term of an initial biennial motor vehicle service contract administrator registration ends is the biennial renewal date for the administrator's motor vehicle service contract administrator registration.

3 AAC 31.729. Definitions.

In 3 AAC 31.700 - 3 AAC 31.729, unless the context requires otherwise,

(1) "consumer" means a natural person who

(A) buys a motor vehicle other than for purposes of resale; and

(B) primarily uses the motor vehicle for personal, family, or household purposes;

(2) "firm" has the meaning given in AS 21.97.900;

(3) "state" has the meaning given in AS 21.97.900.

Article 7
General Provisions

3 AAC 31.900. Definitions.

In this chapter,

(1) "all lines" means both life lines and property and casualty lines;

(2) "director" means the director of the division of insurance;

(3) "division" means the division of insurance, Department of Commerce, Community, and Economic Development;

(4) "life lines" means life, health, annuities, credit life and disability, and, if qualified, variable life and variable annuities;

(5) repealed 12/20/2020;

(6) "property and casualty lines" means property, casualty, surety, marine, mortgage guaranty, and, if qualified, health insurance as defined in AS 21.12.050;

(7) "department" means the Department of Commerce, Community, and Economic Development;

(8) "type of insurance" means, for property and casualty insurers, the Type of Insurance as defined and identified within the applicable Uniform Property & Casualty Product Coding Matrix adopted by the National Association of Insurance Commissioners, revised as of January 1, 2020, and adopted by reference.